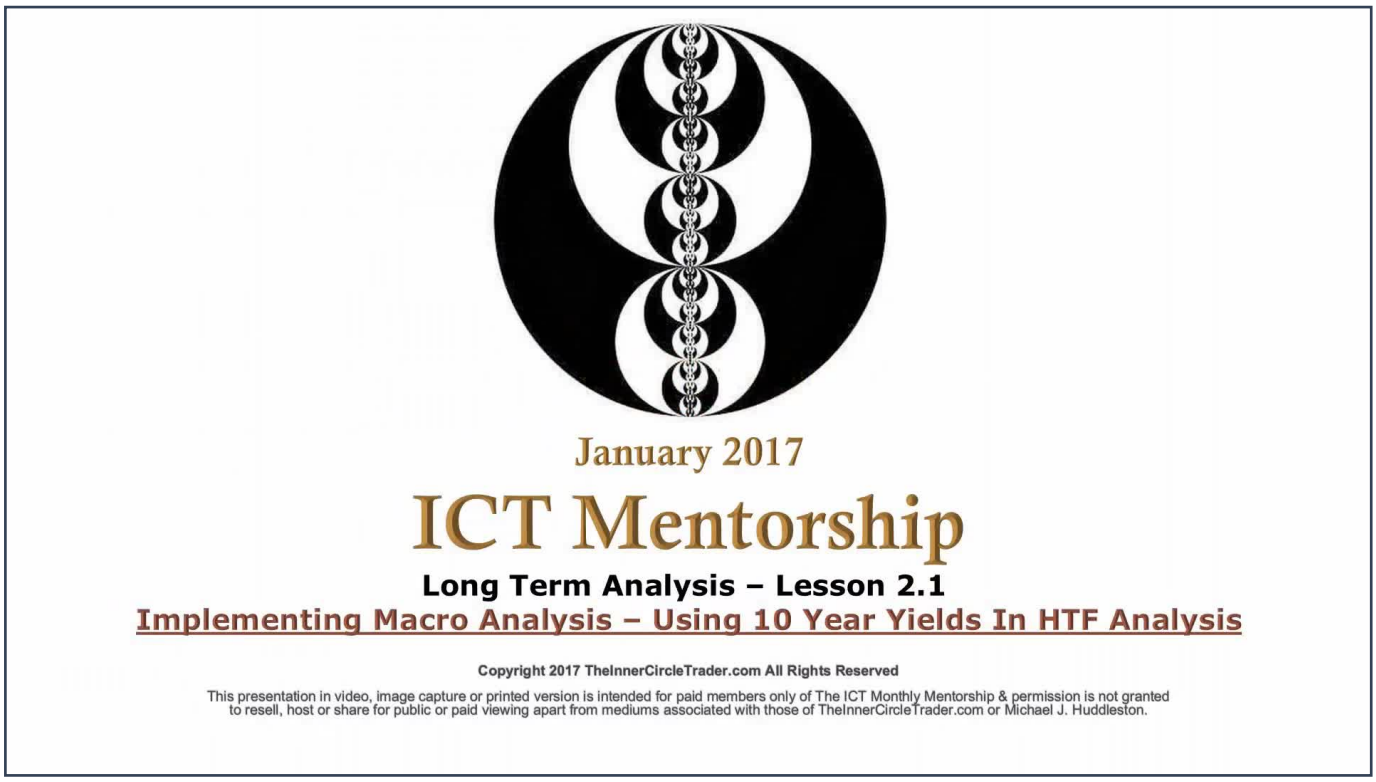
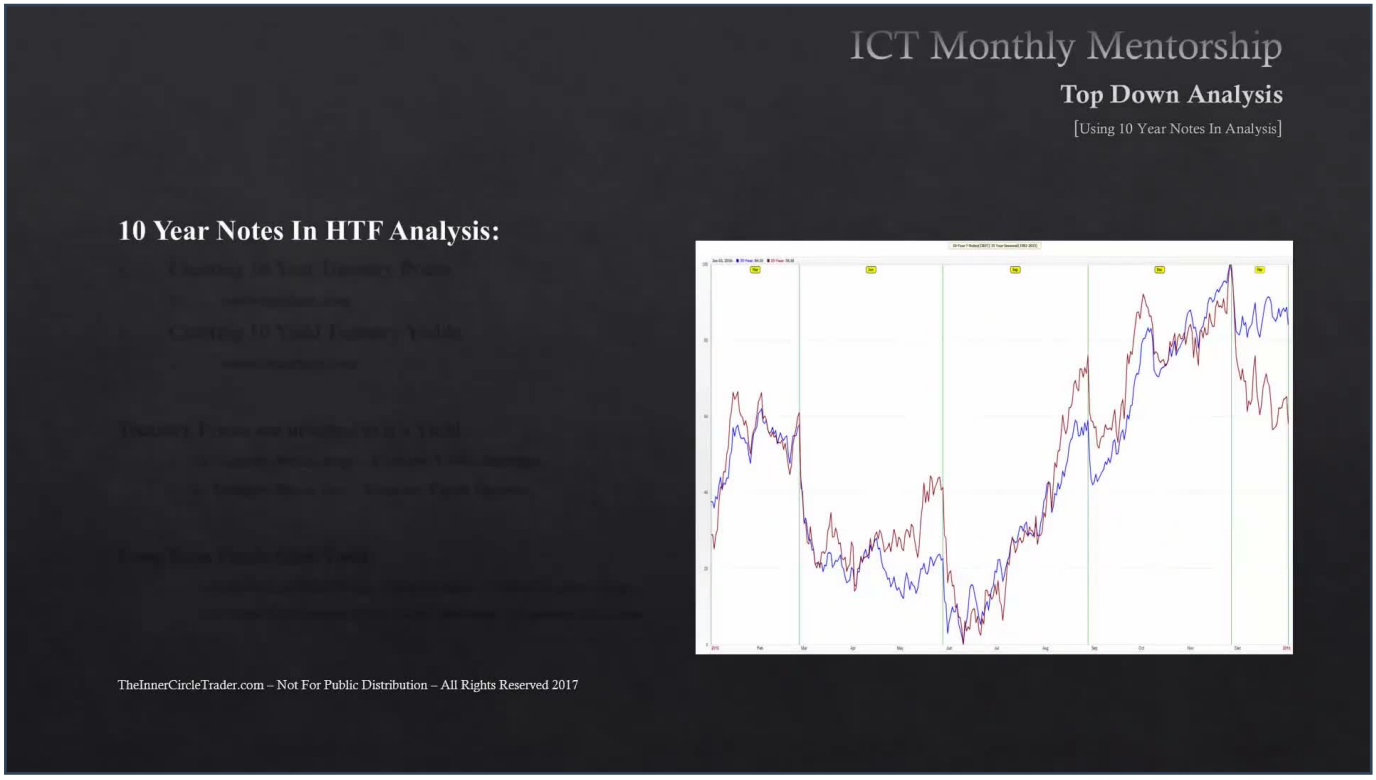
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - USING 10 YEAR NOTES IN HTF ANALYSIS



Welcome back folks. This is Lesson 2.1 of January 2017 ICT Mentorship.

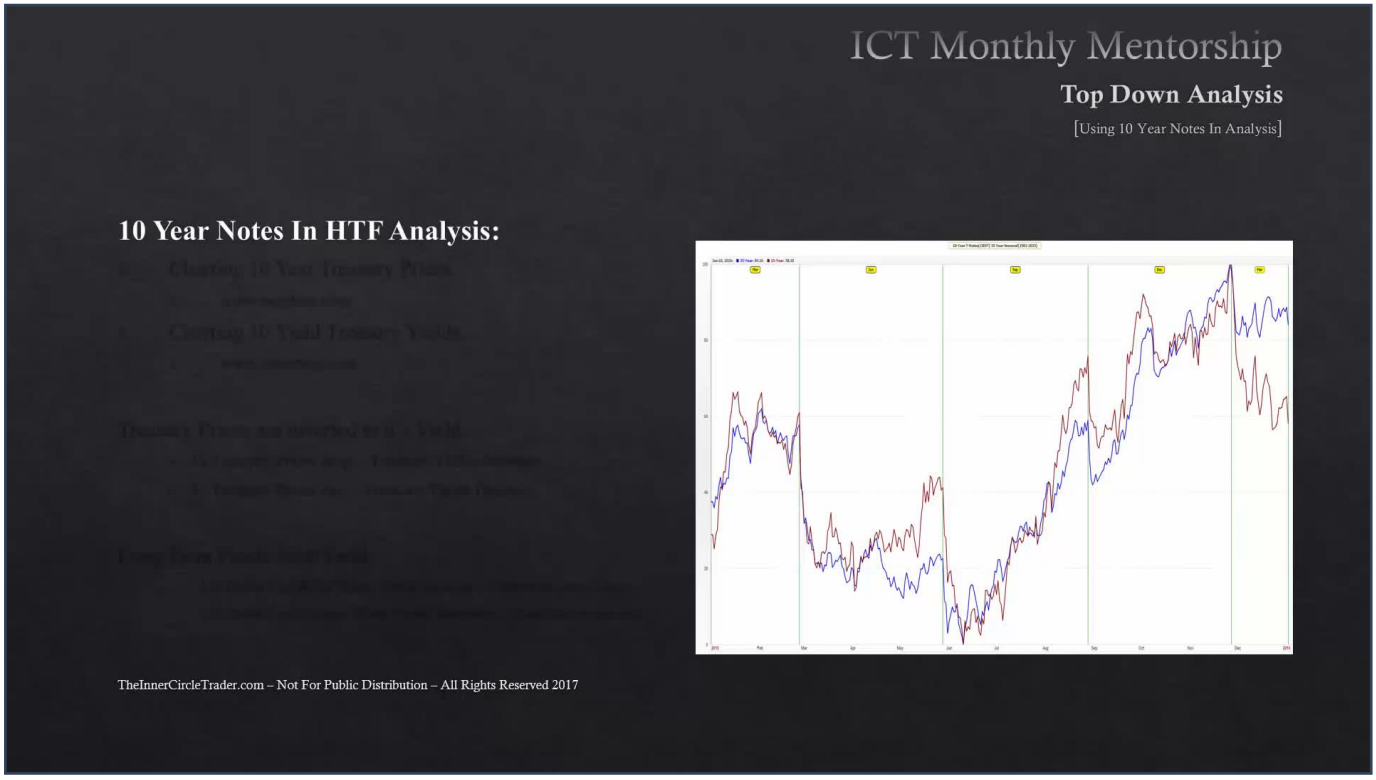
We'll be teaching using 10-year yields in a higher time frame analysis.



Okay, 10-year notes in higher time frame analysis. You can see here on the right-hand side we have a seasonal tendency for the 10-year treasury note.

I want to take a look at the seasonal tendency chart for a minute and try to see where the most significant price swings occur.

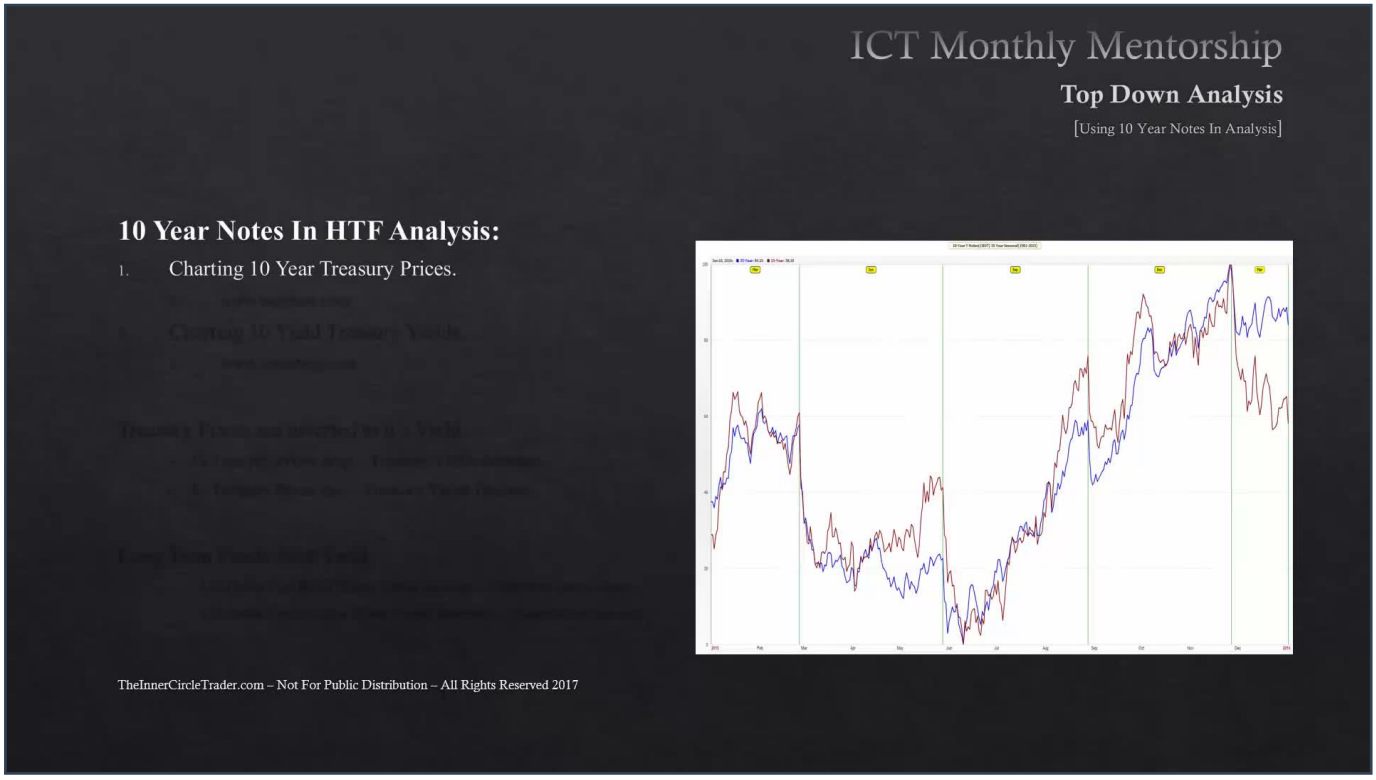
Don't worry, we'll be able to zoom in in a moment, but you can see primarily there is a January-February high. It trades down to a June low, and then a June low trading up into December's highs.



So there's two primary or dominant cycles in the seasonal for treasury notes. It's bearish for the first half of the year and then bullish for the second part of the year.

This teaching is going to give us an example where that takes place, and we're also going to see when the seasonal tendency doesn't have an influence on the market.

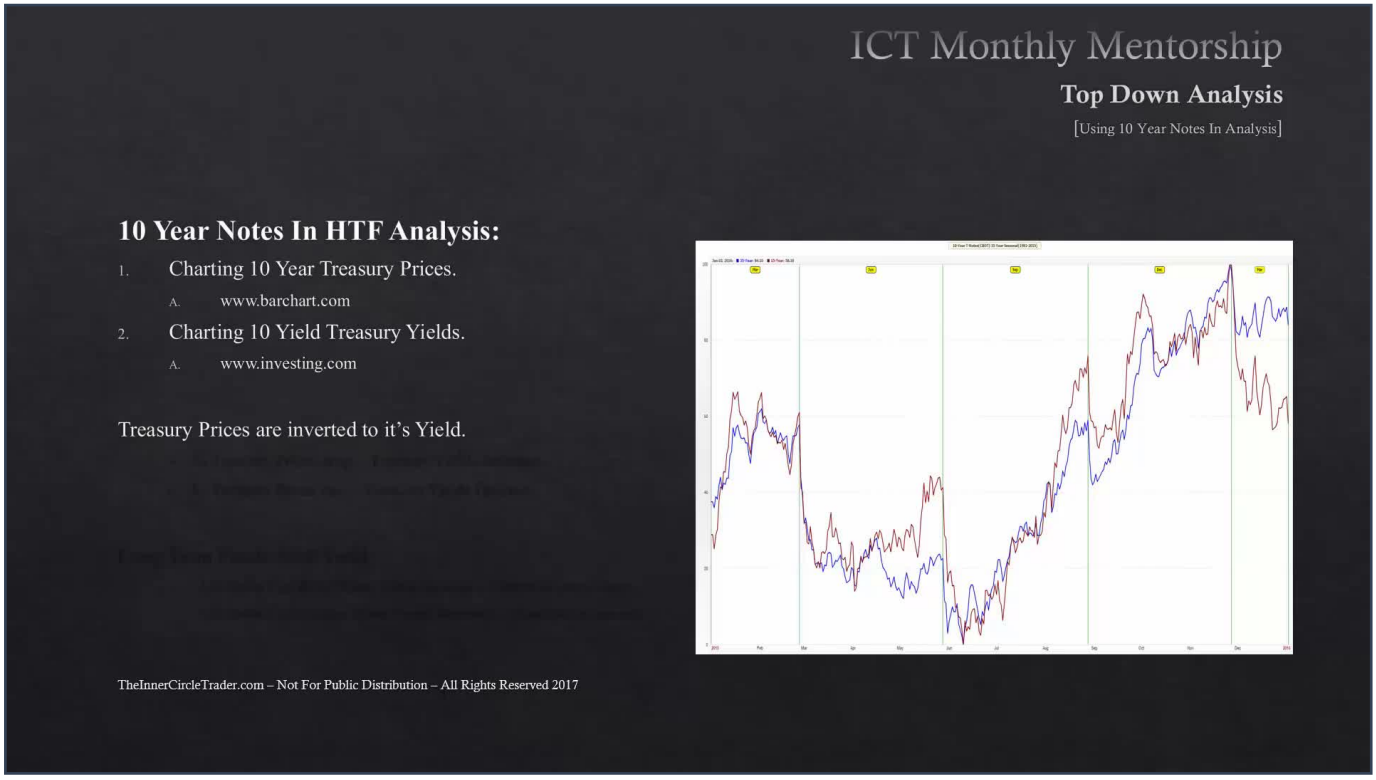
We're also going to see when the market actually performs adversely or contrary to the seasonal tendency.



Okay, before we get into it, some quick notes for you. When we chart the 10-year treasury prices or the futures contract, we're using barchart.com.

When we chart the 10-year treasury yields, we'll be using investing.com. Both of these websites are free.

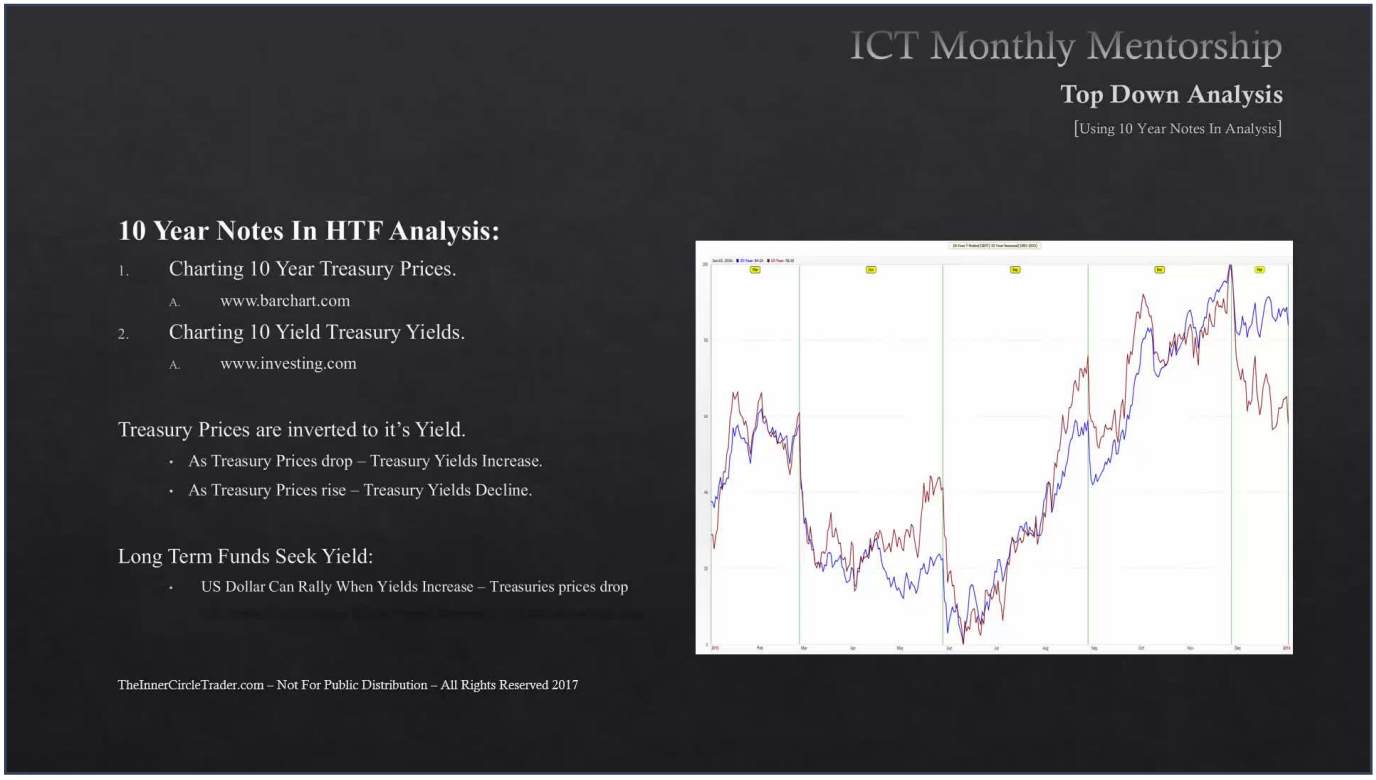
Some quick notes for you: treasury prices are inverted to its yield.



As treasury prices drop (that means the futures contract for the 10-year treasury notes, when that price drops on the chart), that shows a treasury yields increase.

As treasury prices rise, treasury yields decline.

As a general rule of thumb, long-term funds seek yield. That means money will be placed or allocated in areas at which it will seek the majority or most return on investment.



Okay, the Dollar Index has it relatively easy or it can rally when the yields increase, and this is seen when the futures contract prices drop on the 10-year note.

The Dollar has its easiest or most opportune time to decline when yields decrease. This is seen when the treasury futures price rise.

ZOOMED-IN 10-YEAR TREASURY NOTE SEASONAL TENDENCY

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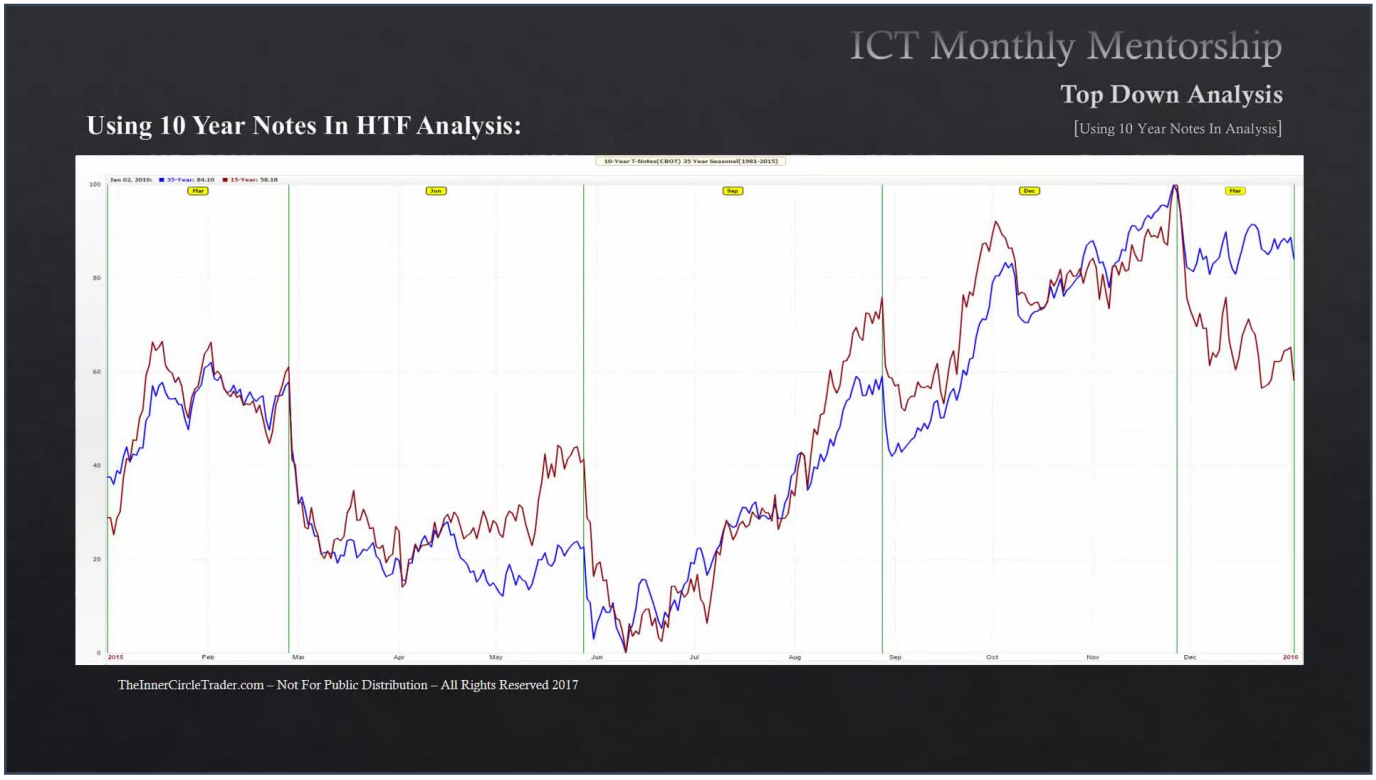
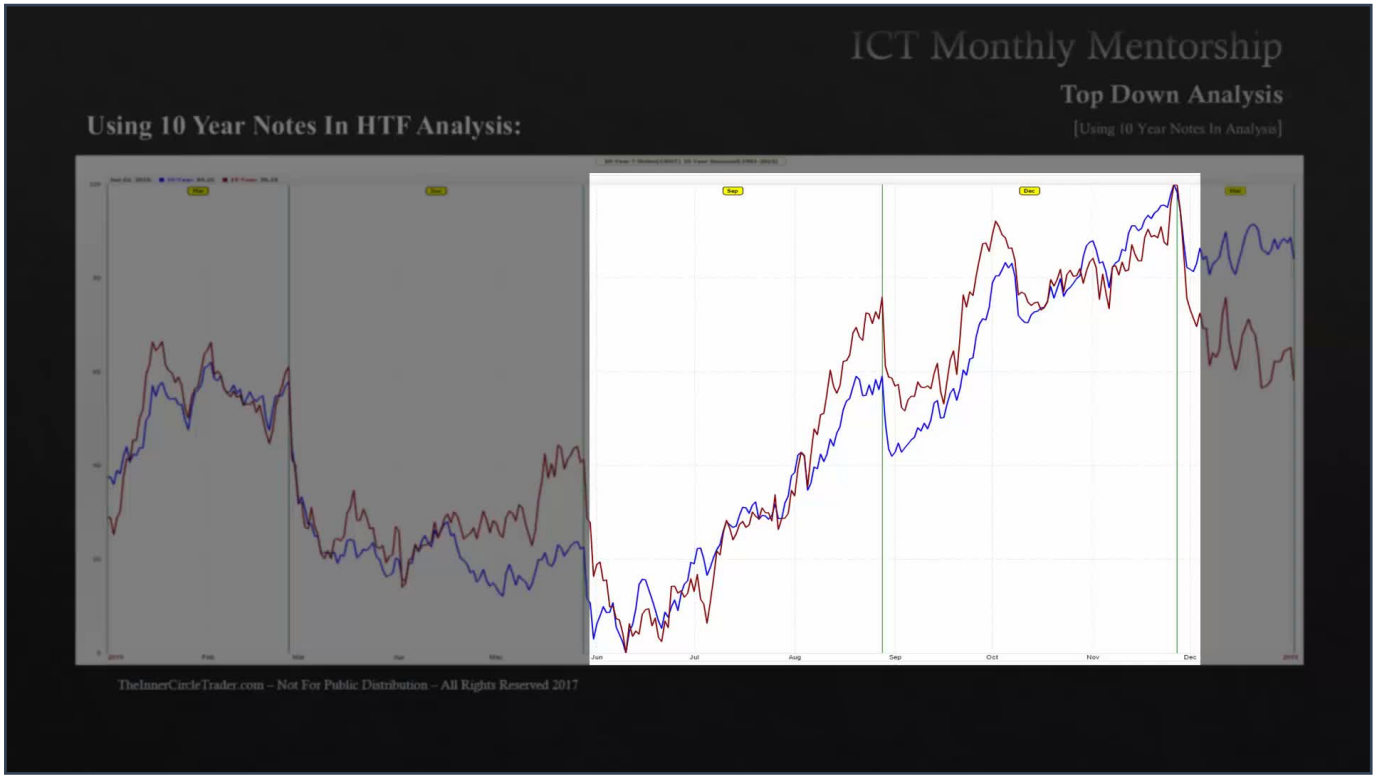


Okay, here we have a zoomed-in seasonal tendency on the 10-year treasury note.

I want to take your attention to the first portion of the seasonal tendency, and this is in January to February. There's a high that generally forms and it trades down into around June, or middle of the year.

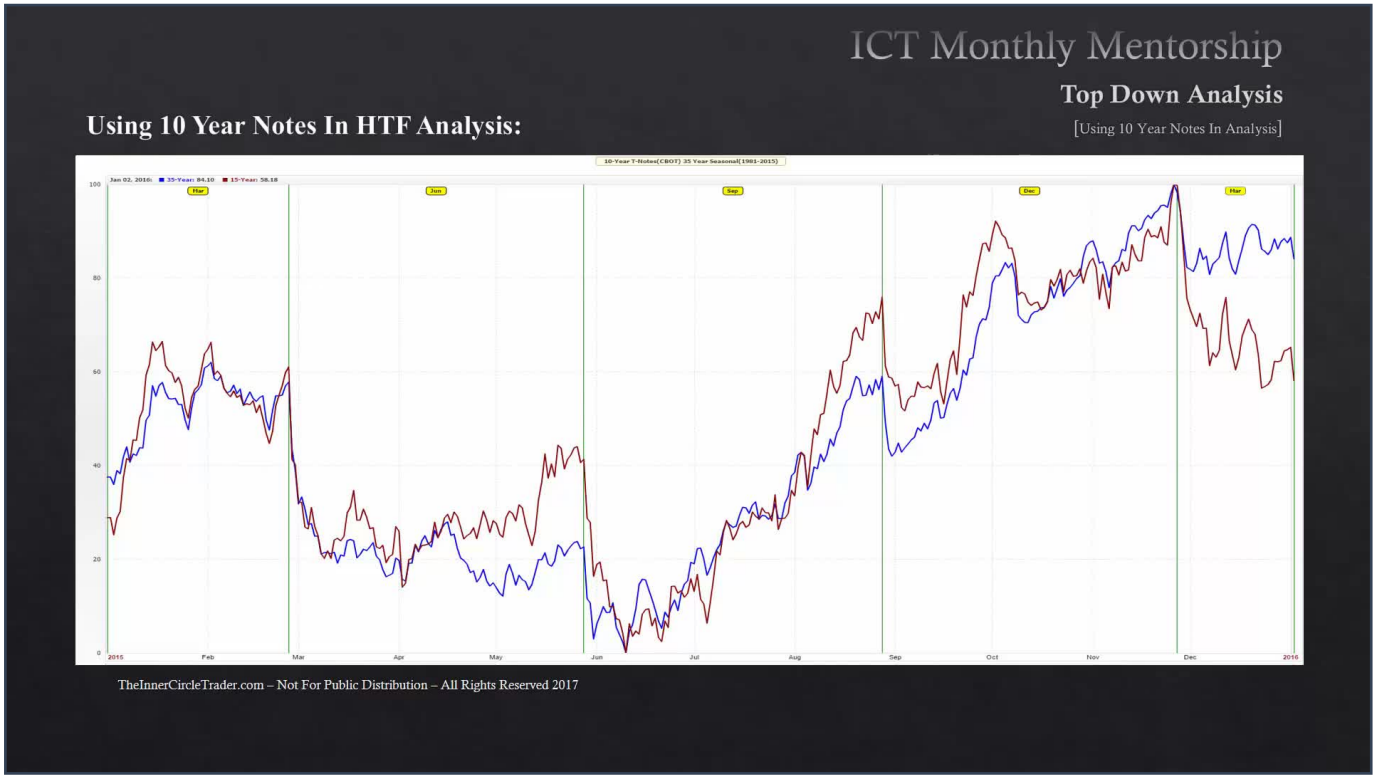
Around June, July (it's really like the last week of May, really if you look at it, it's the last week of May and rolls into the first week of July), usually it makes a seasonal low there, and in the 10-year treasury notes usually rally the rest of the year.



Now, if we have this seasonal tendency on the underlying futures contract price, in other words, on the treasury prices, this is not the yield; the yield would be inverted.

So in other words, if we're watching the June-July low and prices on the 10-year are rallying, that means interest rates are actually dropping. So it's going to be an adverse effect or inverted effect on the yield.

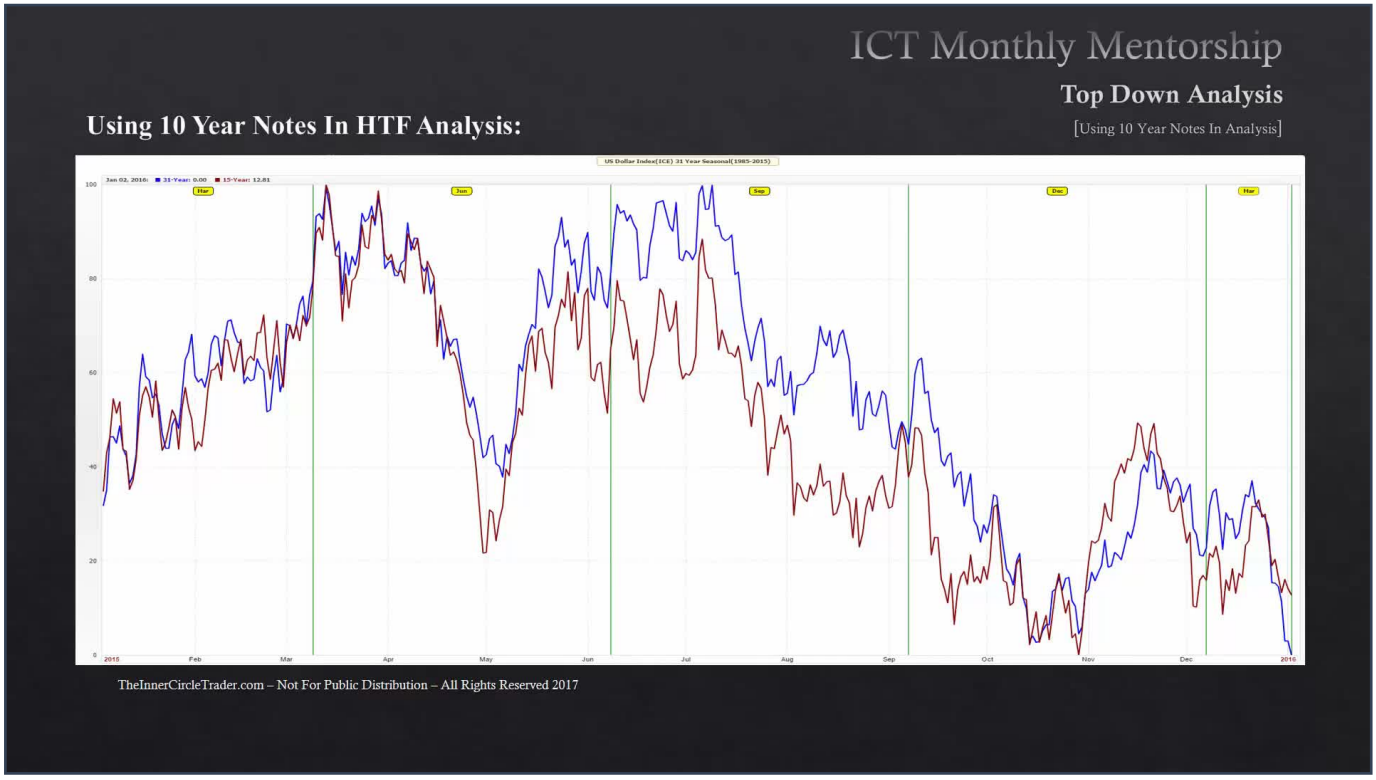
If we see this occurring in the 10-year treasury, we should be seeing what in the Dollar Index if we could show a seasonal tendency, which we happen to have one in the next slide by the way.



If we have the Dollar Index as a seasonal tendency, should this be occurring at the same time that we see the June-July rally? Should that be occurring with a bullish or bearish move in the Dollar Index?

Here's that seasonal tendency for the Dollar, and you can see around the January-February time there's usually a rally that takes place, which is contrary to what we saw in the 10-year treasury notes declining.

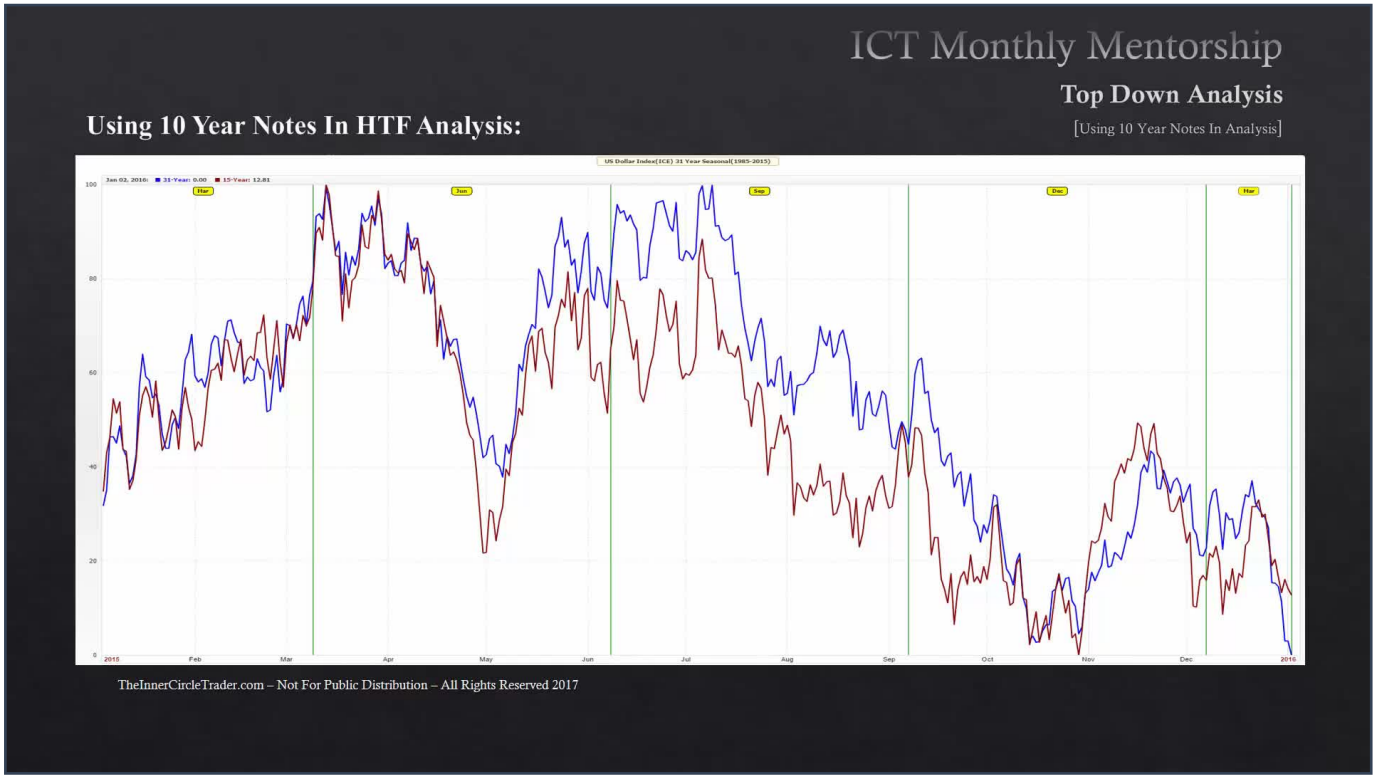
Then we have a significant high forming between June and July, and then the Dollar Index typically trades down the rest of the year, usually making a low around the last week of October, first week of November, and it creates a small little bounce on November time period for the Dollar Index.



So the primary two trends in this market for the Dollar that is in alignment with the seasonal tendencies seen in the 10-year, is there is a bearish tone to the marketplace for the Dollar Index mid-June to July.

And then we also see some rallying on the Dollar Index the beginning of the year going into March.

Now there is a seasonal tendency for the Dollar to decline March into May, but that would have to be in bearish markets.



In bullish markets you could expect to see November be a buy, May be a buy, and January be a buy for Dollar Index.

And the sales come in March, June, July, and there's one in September, and it usually creates some short high in the latter portion of November.

Let's go back to the 10-year treasury notes just for a moment.

CONTRASTING RELATIONSHIP: 10-YEAR NOTES AND DOLLAR INDEX

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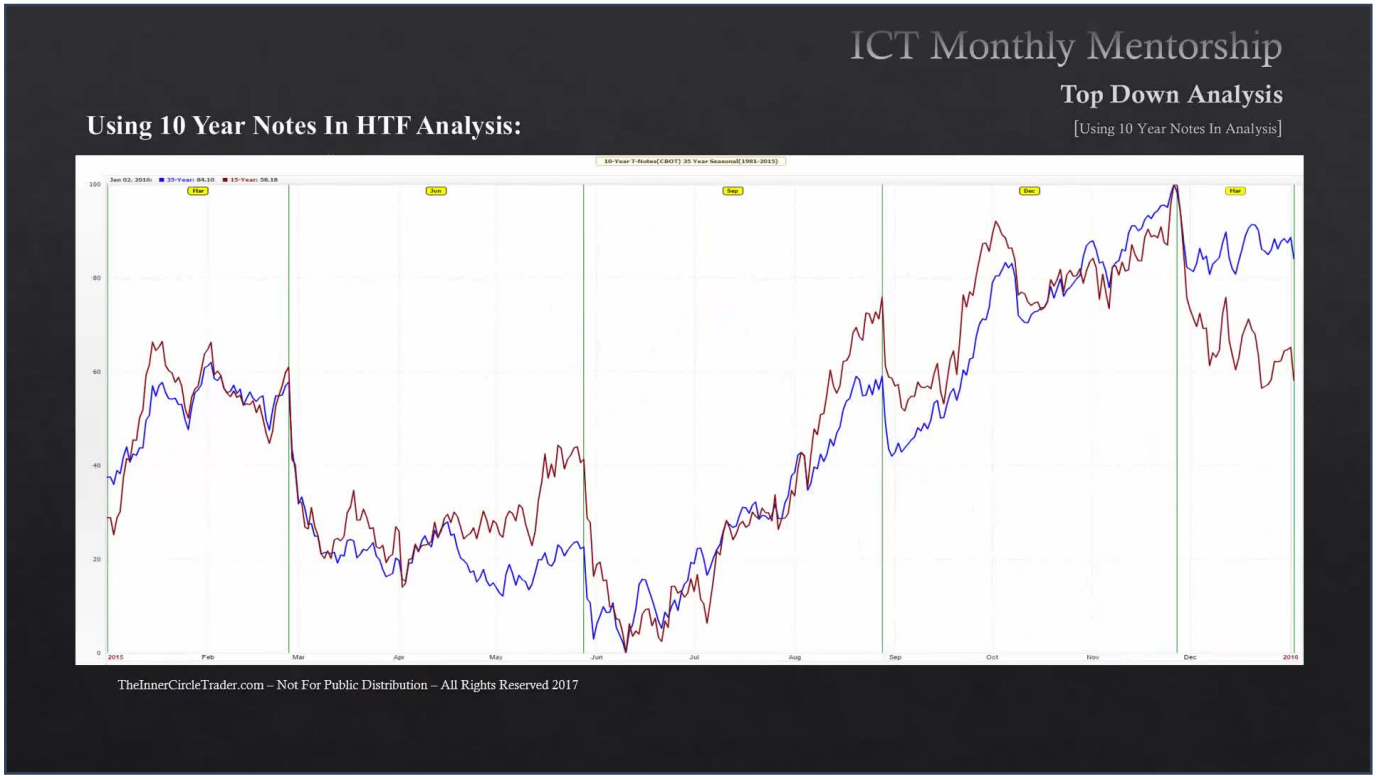
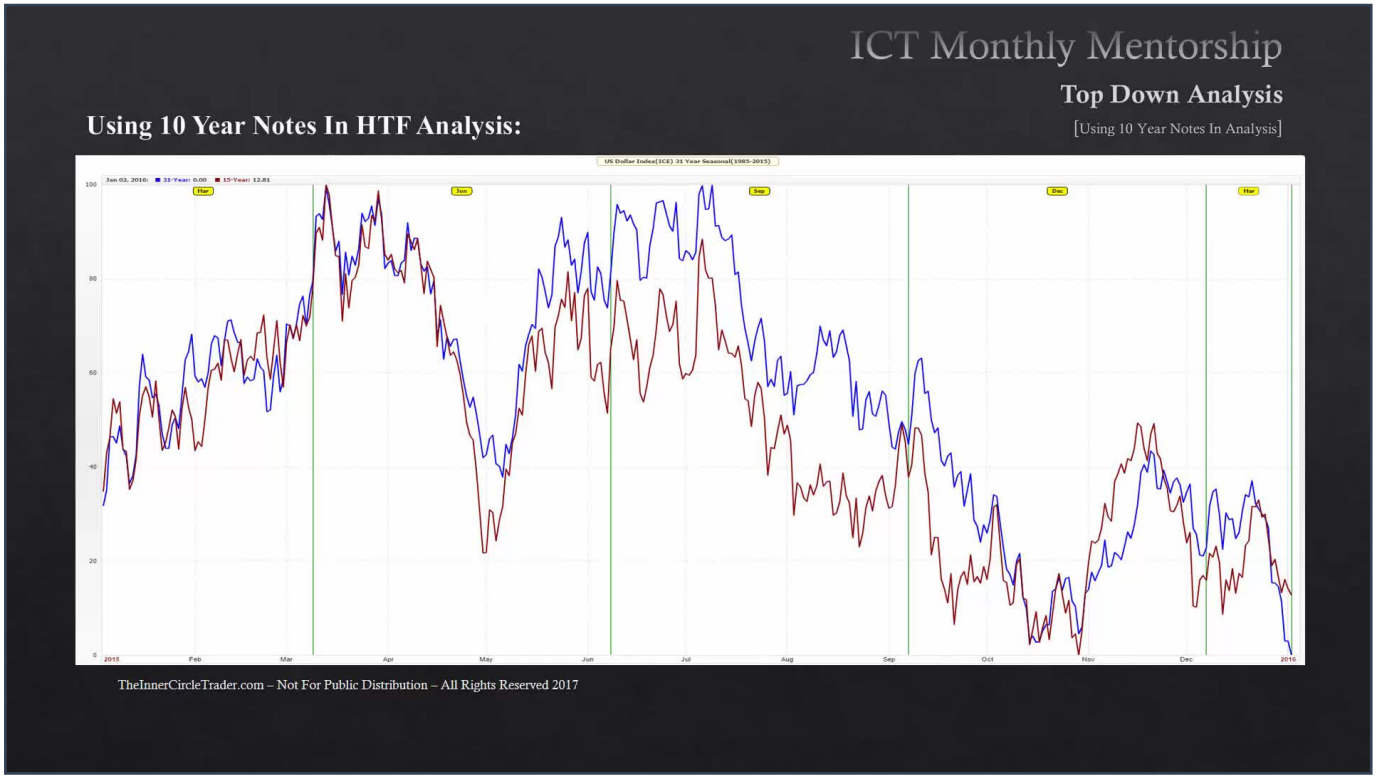


Okay, you see there's a strong contrast between the two, and that means that we do have a high probability scenario for if the 10-year treasury notes are rallying in the futures price, that means that the yield will be doing the opposite, they'll be going down, so interest rates will be dropping.

If interest rates are dropping, that's going to cause the tendency for yield-seeking traders or investors to avoid the Dollar Index, because if the interest rates are dropping, that's not going to incite wanting to buy Dollar-based assets.

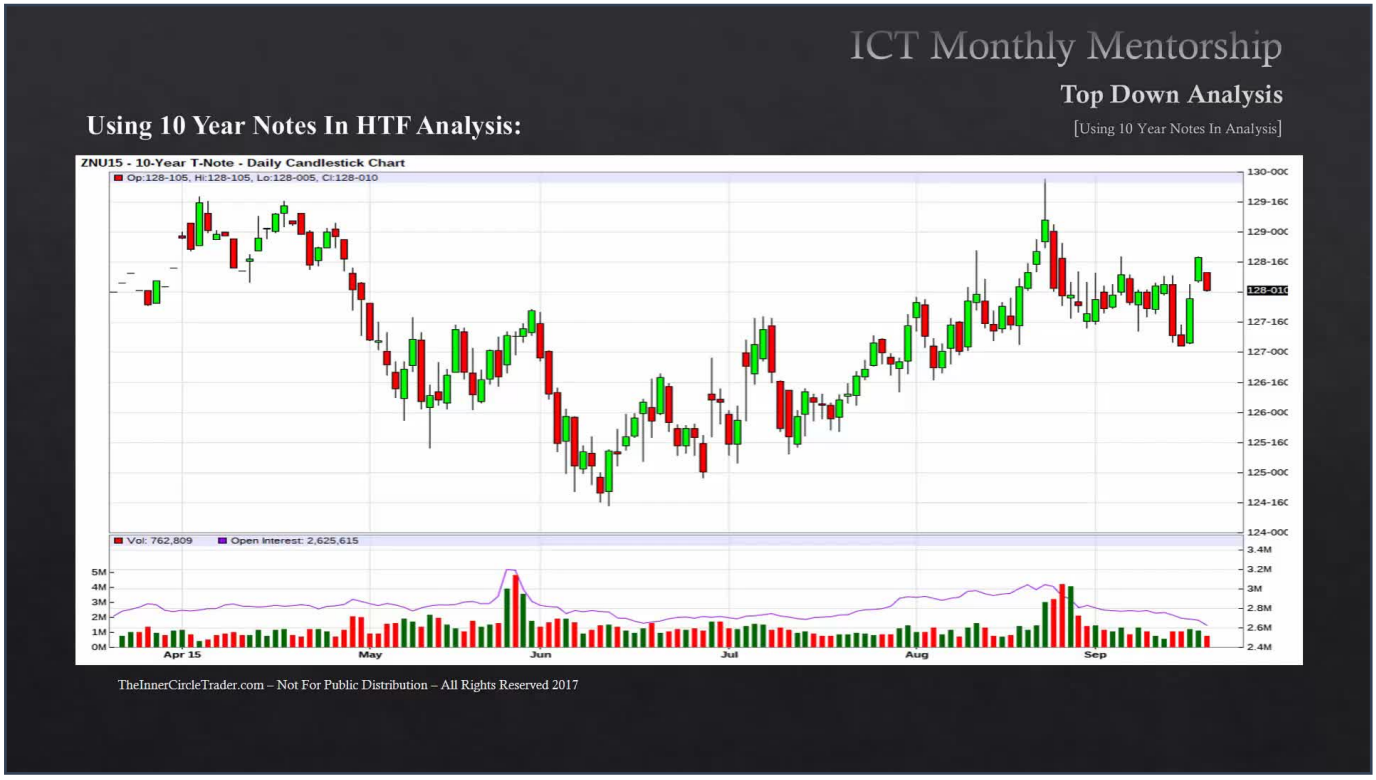
So, the reason why we're seeing this adverse effect here is because there is a direct inverted relationship between the two.



So if we have this blending of these two markets, it gives us a context to work with if we're going to be looking for quarterly shifts in the marketplace.

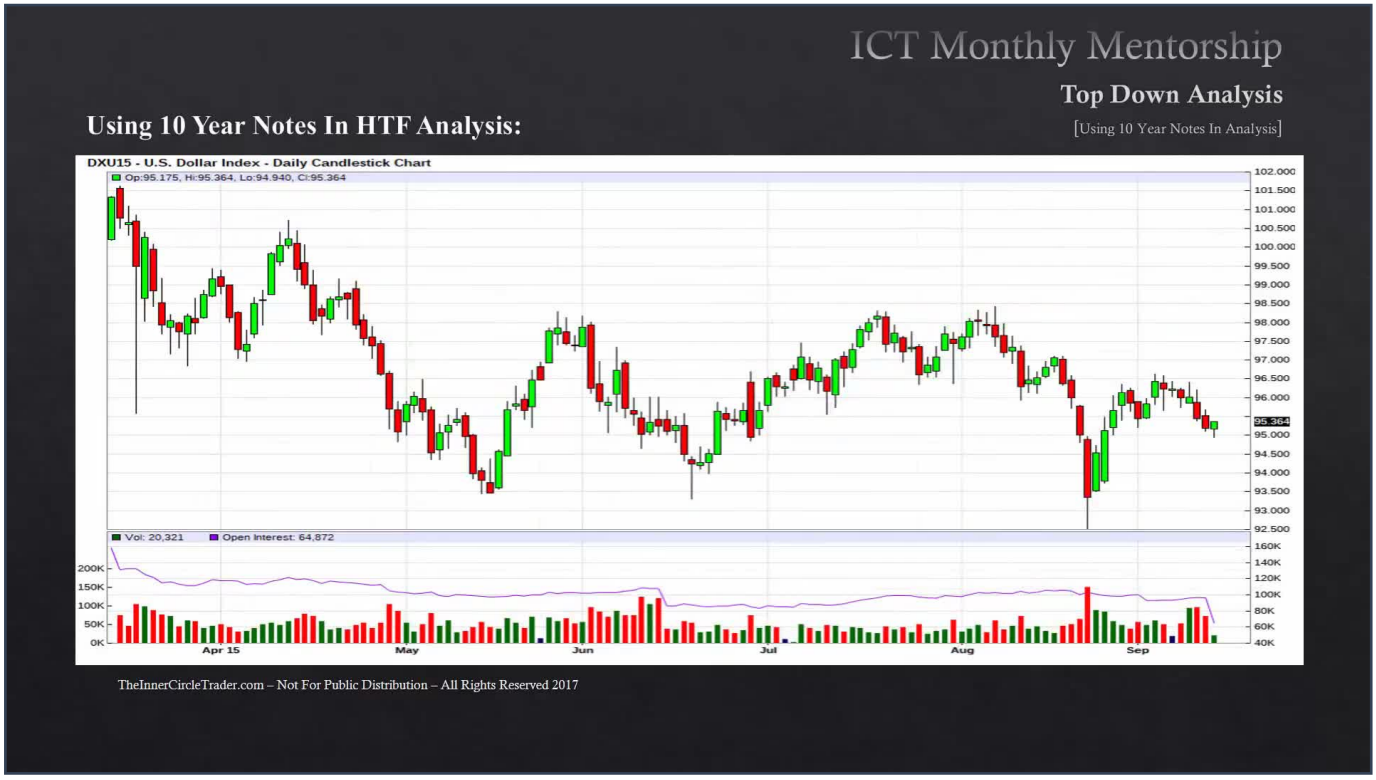
Okay, here's the 10-year treasury note. This is the September contract of 2015.

And remember that we saw the seasonal tendency to form a low in June-July.



And a 10-year treasury note contract for September (because the 'U' in symbols name ZNU15 in the left-hand corner, that 'U' stands for the month of September, that's the delivery contract of September).

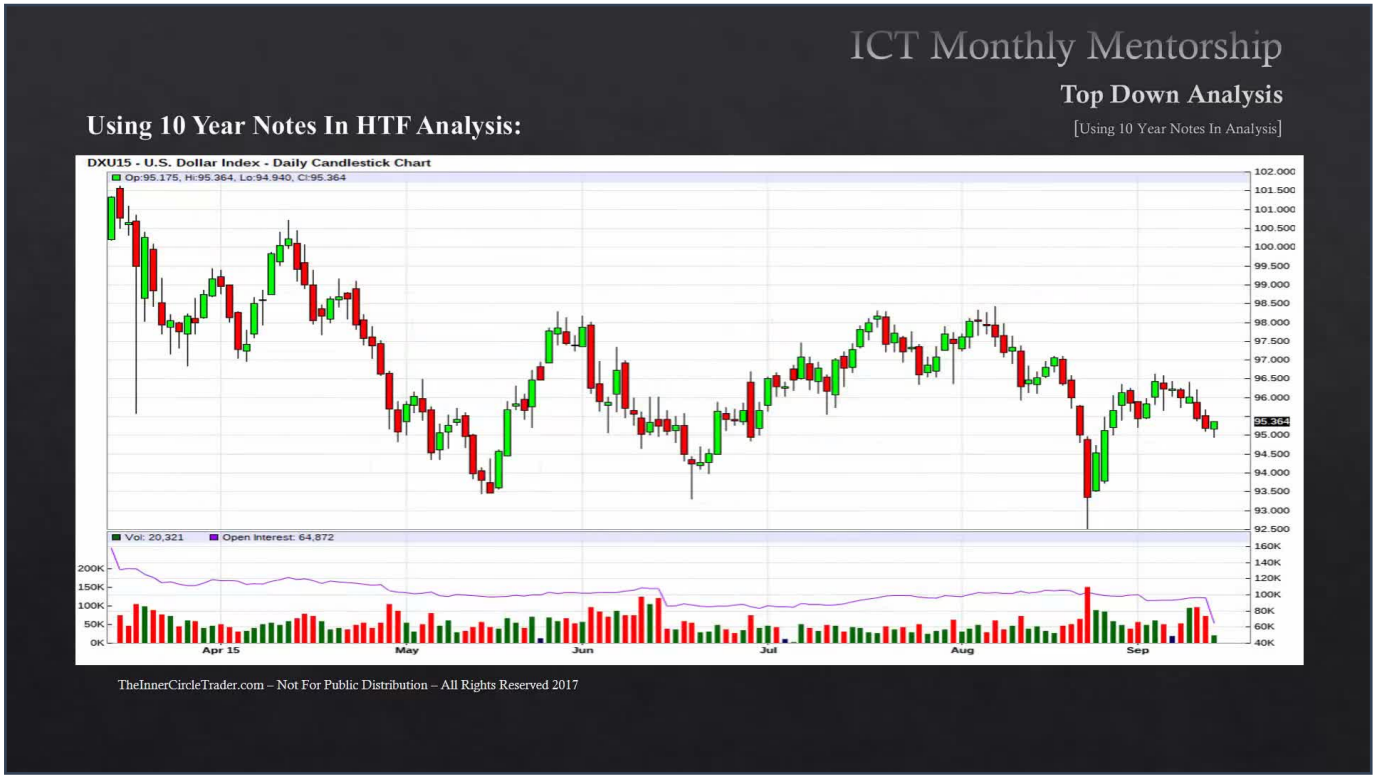
You can see that the contract prices or treasury note prices started to rally in June. That means that the yields are going to be decreasing or declining, and that's going to be bearish for the Dollar Index.



You see in June-July we made a short-term high, traded lower. We violated the low in May.

Then look what happens between mid-June into July and August. The Dollar Index actually has a little bit of a rally at the same time.

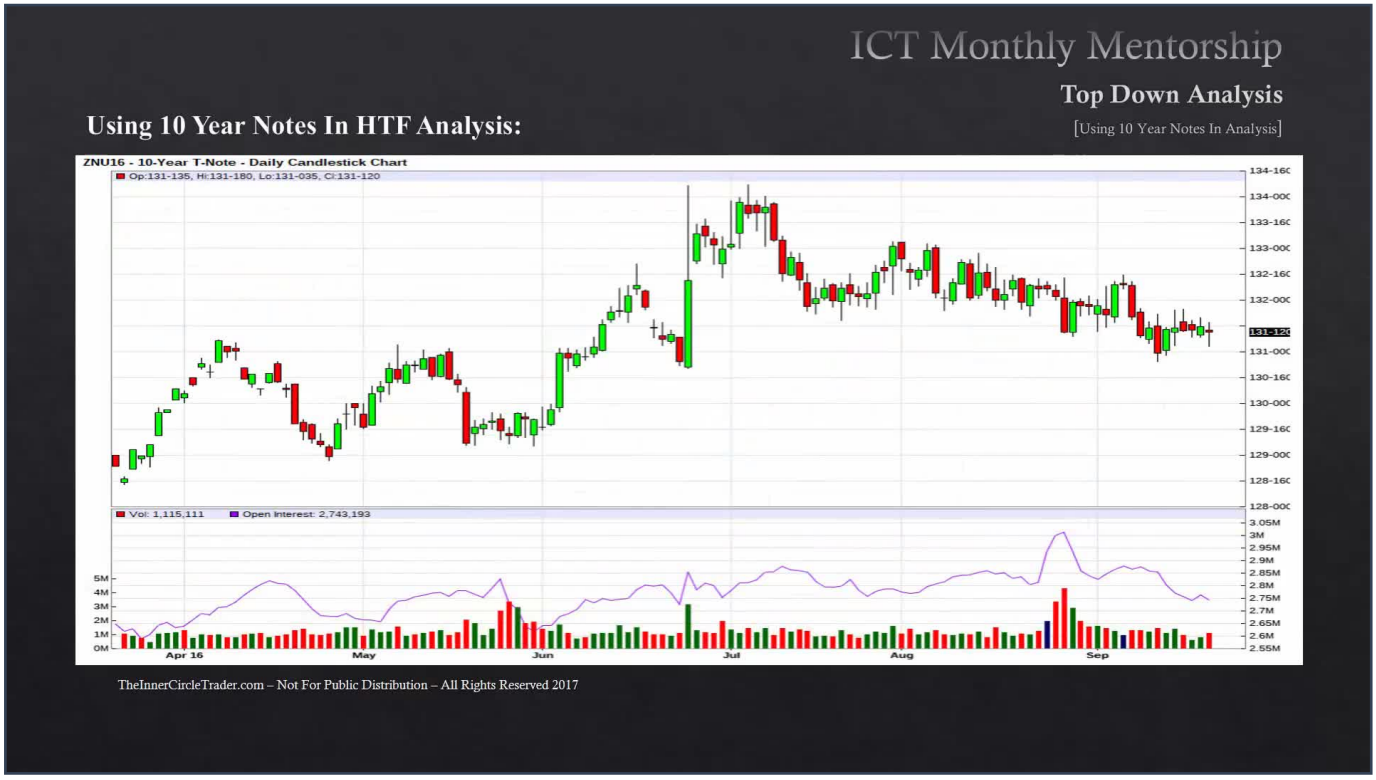
Going back to that September contract of treasury notes, 10-year, at the same time the treasury notes were rallying with its seasonal tendency, if we look at the Dollar Index, it was slightly bullish as well.



So when we see this scenario, we are looking at the likelihood if they're moving in tandem, that means we're actually going to be in a large consolidation.

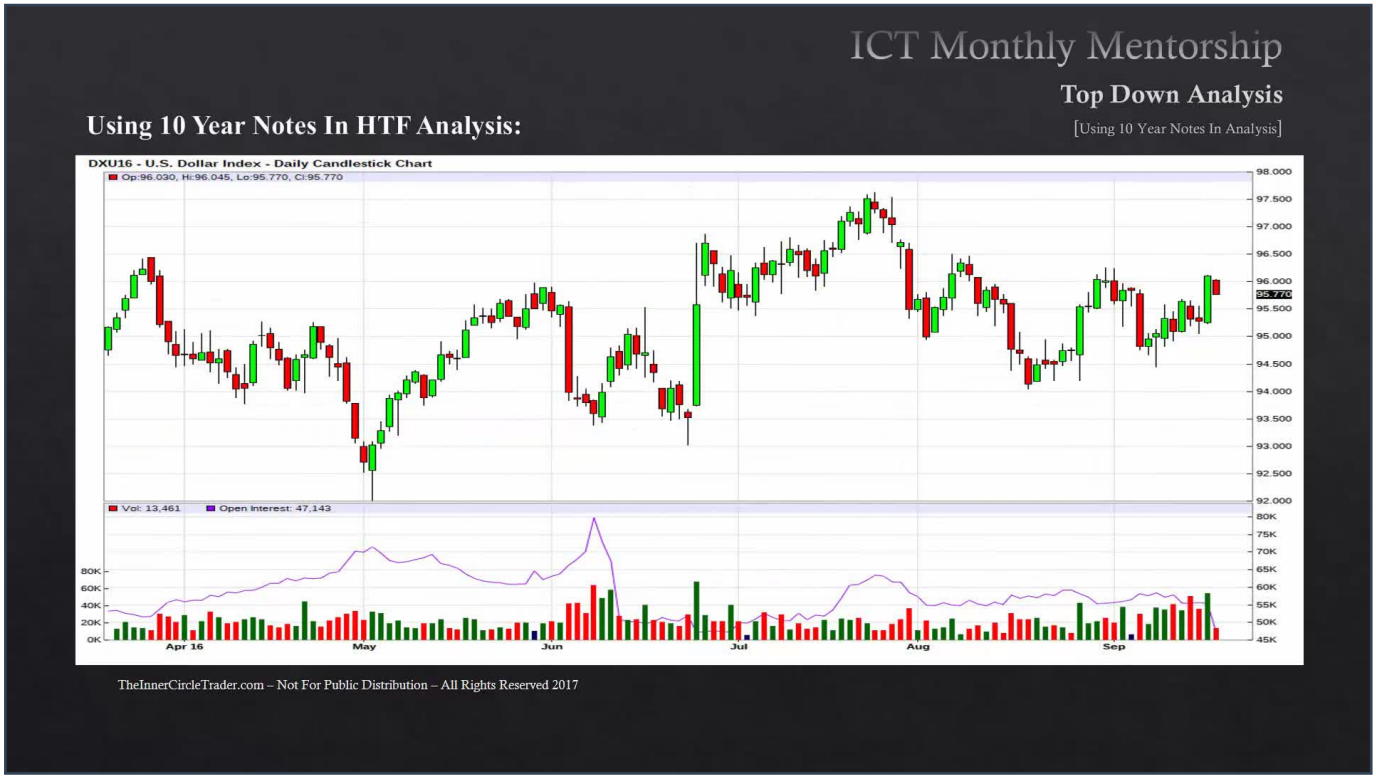
That means it's not going to be a trending environment most likely, and that means we want to look for previous highs and previous lows to be violated and back to the middle of the range.

You can see that was the effect here after July and August. The late part of August, we came all the way down, took out the May-June lows. The market essentially for the Dollar Index moved sideways.



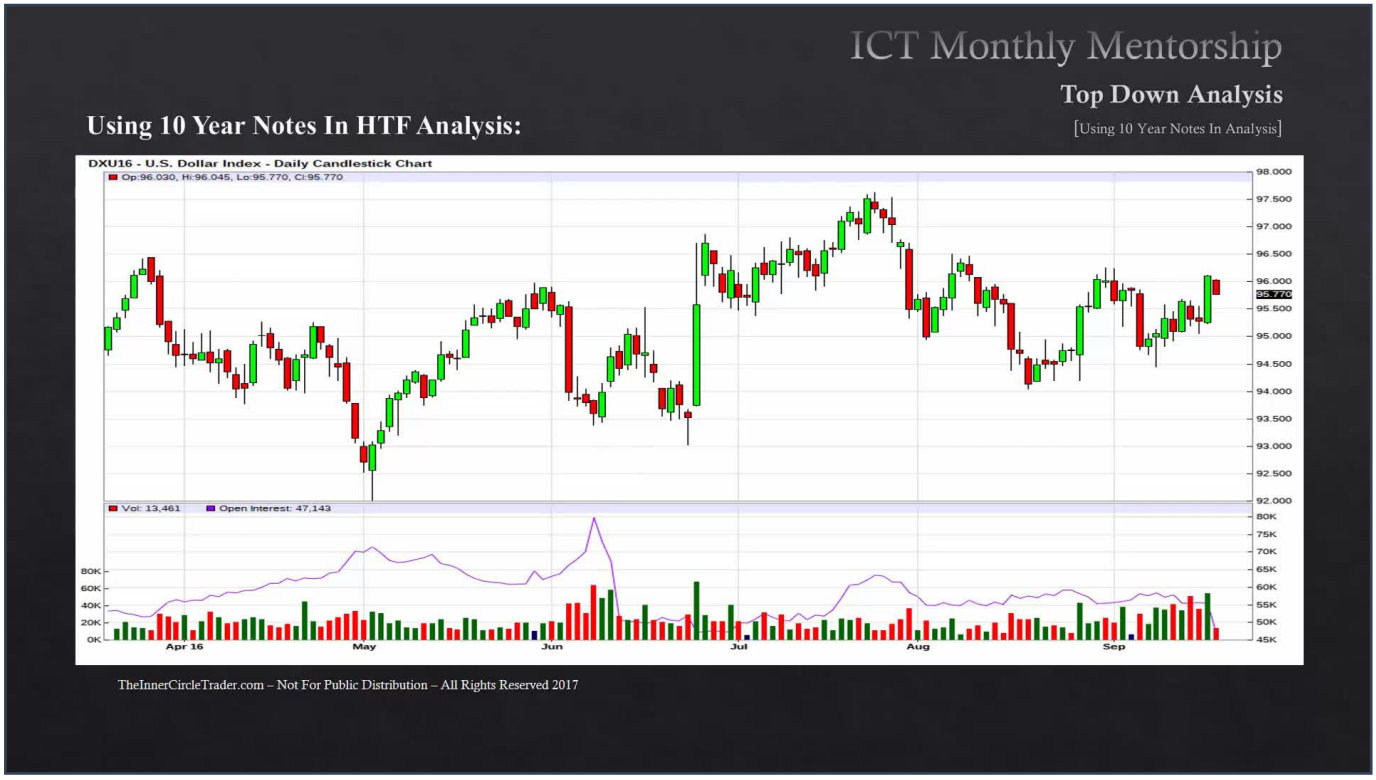
2016 September contract of 10-year treasury notes. Again, we can see that last week of May going into June, that seasonal tendency for a low to form for 10-year treasury notes. 10-year treasury notes rally all up into July.

And that should give us a bear stance for the Dollar Index at the same time.



As you can see, we did have a bearish decline in the last week of May going into June, and it gave one more lower low in the latter portion of June, but look what happens again. We have the Dollar Index rally one more time.

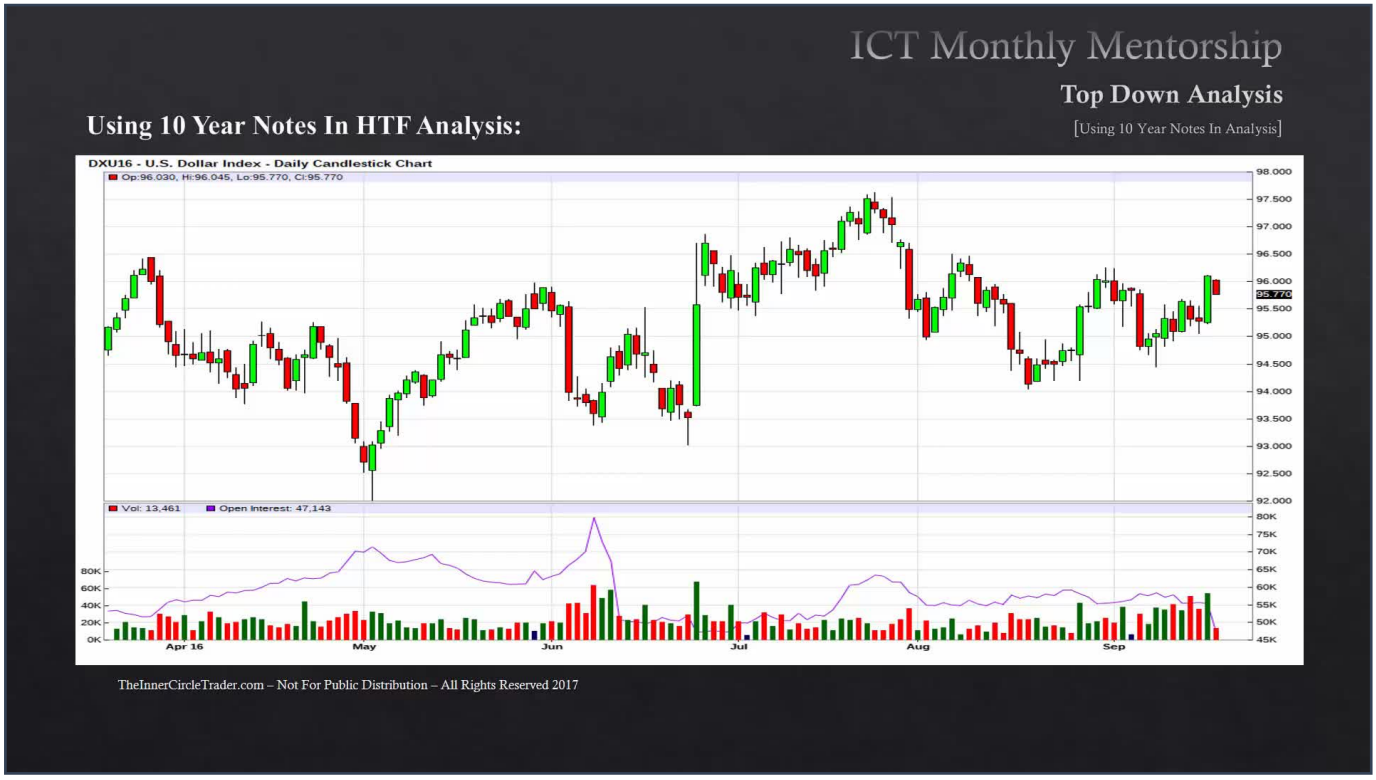
Again, we'll go back to the previous slides, you can see the 10-year treasury note, see, I have a slightly higher high going into July as well. And then we saw that one more higher high pushed into the Dollar Index in the latter portions of July.



Again, this is going to be an indication that the markets are going to be in a large consolidation.

So think about what we've already shown here: if the market's showing the tendency to be in a large consolidation, why? Because both yield and Dollar (10-year treasuries and the Dollar) are moving in the same direction.

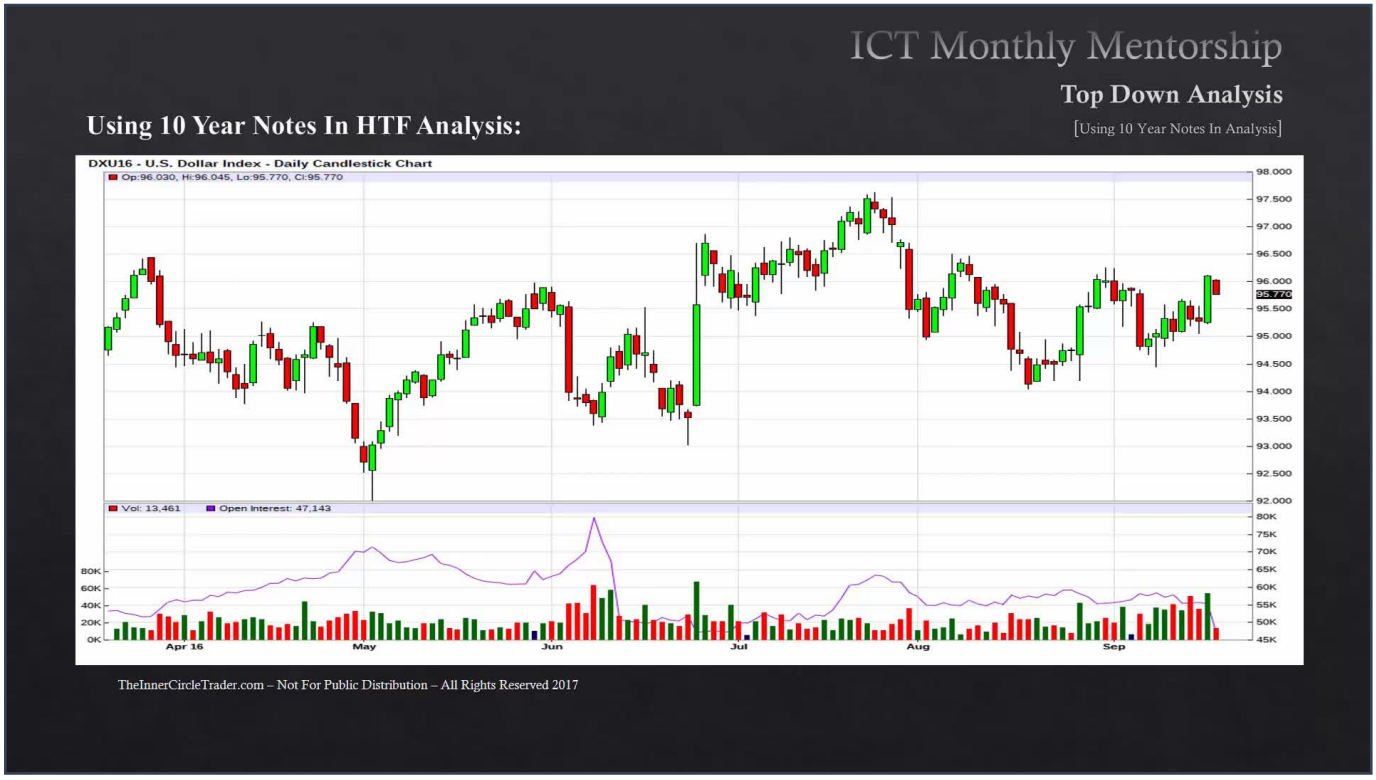
If that occurs, what we're looking at is long-term indecisiveness, and that means because both of them are moving in tandem, the likelihood of a continued directional trade higher or lower for either one is highly unlikely.



So we would be focusing on looking for stop raids, or looking for if the data range to look back and see previous highs and lows to be violated, when both treasury and on the Dollar Index.

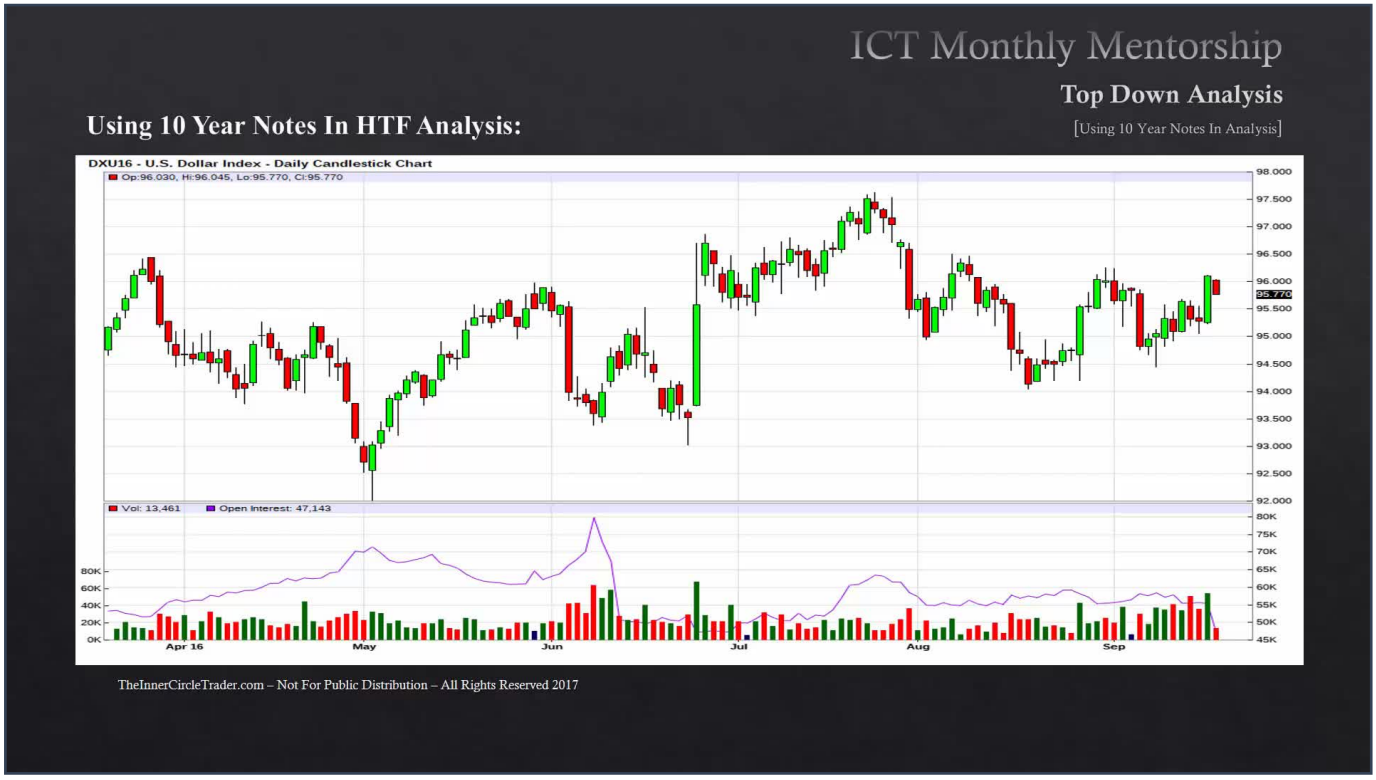
So if we're looking at this condition, what do you suppose that does for foreign currencies?

It does several things. Number one, it puts you in a long-term consolidation on foreign currencies because the Dollar is in consolidation and treasuries are under consolidation.



If we see times when the treasury market is in fact moving in its seasonal tendency, and the Dollar is supporting that same seasonal tendency, then we have a strong probability of a directional long-term trend.

And that's where the large funds place their money. When you get into the marketplace on those moves, you have these long periods of many weeks, several months, in terms of one directional bias moves, in other words, long-term trends.



Okay, our next example. Now we're looking at the March contract of the 10-year treasury notes for 2017, and I'm using this contract because it allows me to show the data for the latter portion of 2016 and going into present trading day.

You can see here that treasury market seasonal tendency to create a high in November.

And let's go back to that seasonal tendency just so you guys can see it.

REAFFIRMING 10-YEAR NOTE SEASONAL HIGH (NOVEMBER)

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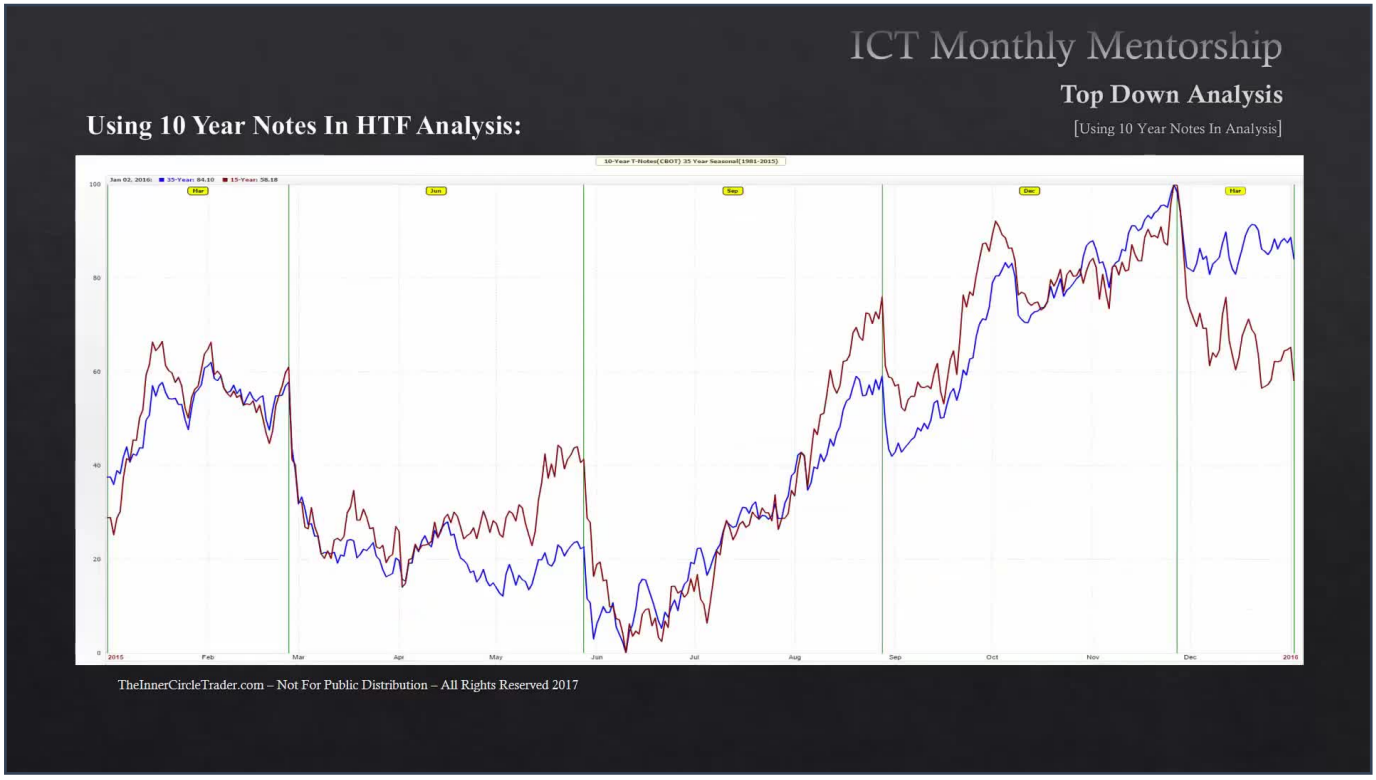
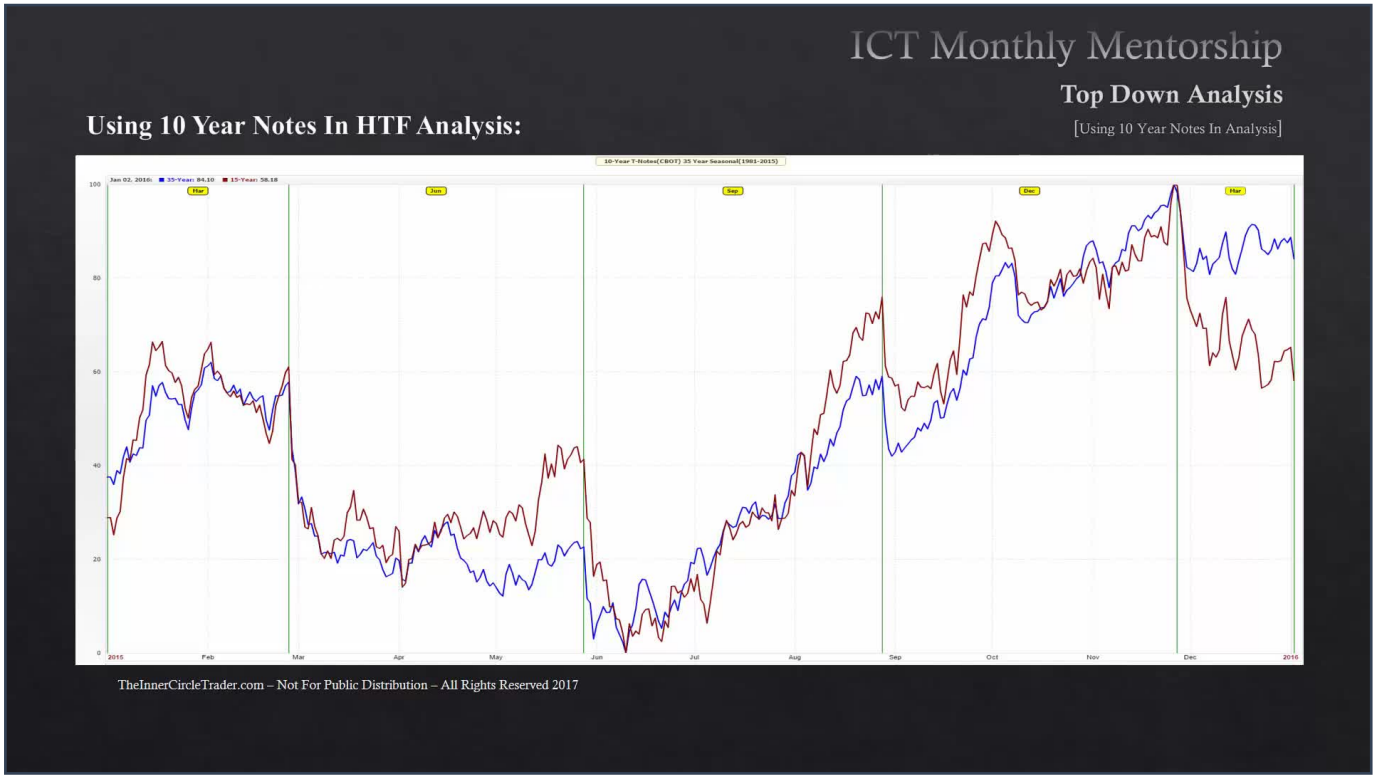


Okay, here's the seasonal tendency once again for the 10-year treasury note. All the way to the far right, you can see that green line, that vertical line that's most furthest to the right.

That furthest most right green vertical line that delineates the beginning of the trading for the March delivery contract. You can see that that actually makes the high of the March contract and it starts to trade off lower from that price point.

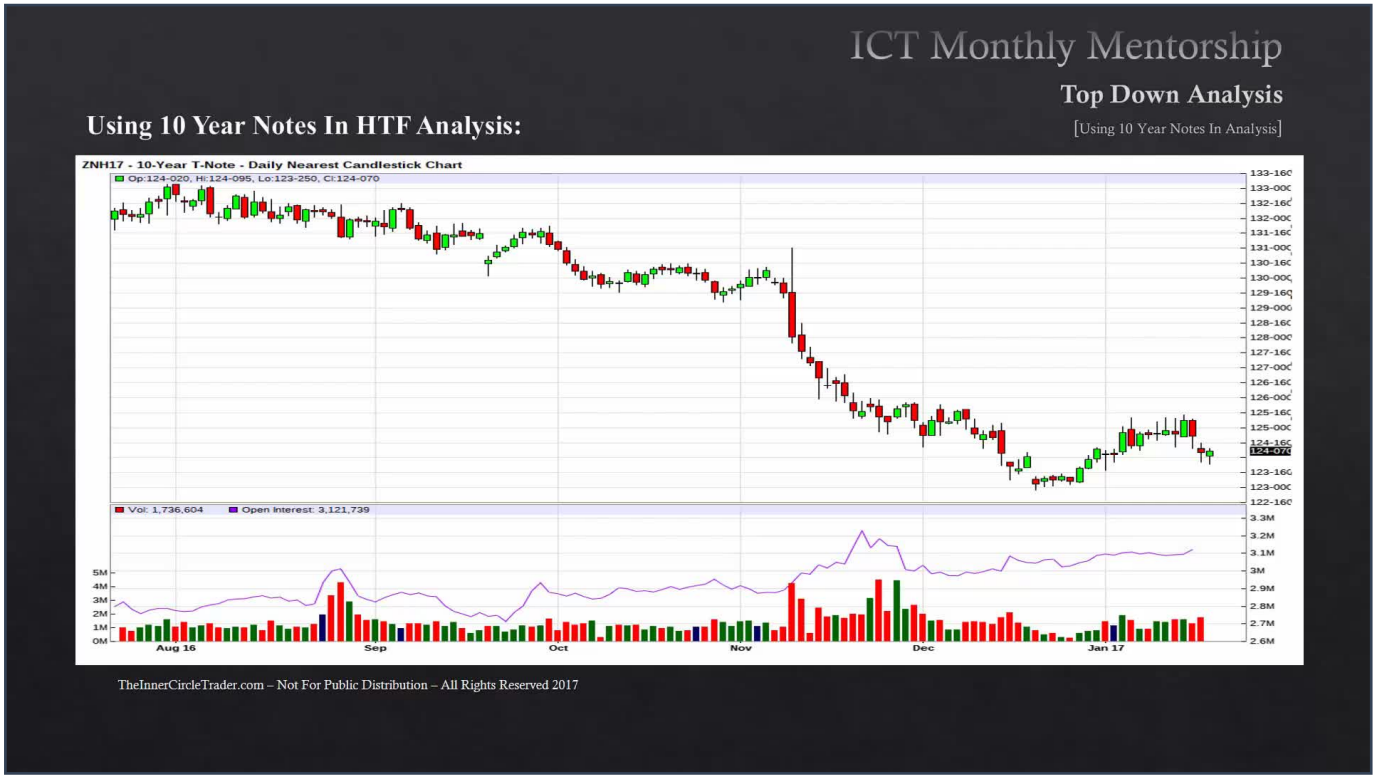
That seasonal tendency to create that high for a March contract is going to be influential for us in that next slide that we just looked at.



So here we are back again, that same 10-year treasury notes slide for 2017's March contract.

Now we had the presidential election obviously in 2016, and what we're looking at is that high that the election results shown for Donald Trump making our president-elect at that time of vote.

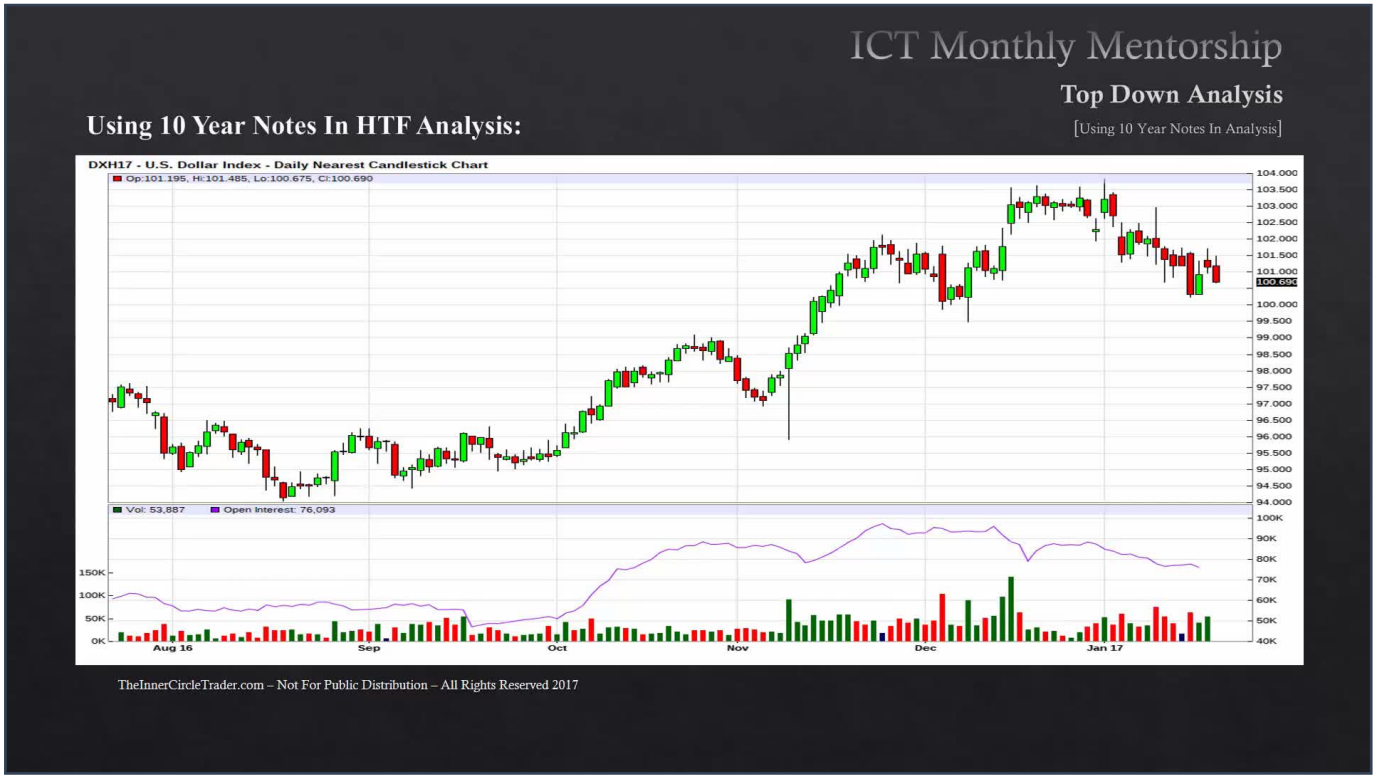
The seasonal tendency for the March contract could create a high. You can see that came into effect in November.



So while we're looking at the end of that uptrend for the seasonal tendency on the 10-year treasury note, we're looking at the beginning of a seasonal high, and that gives us that movement going lower into the latter portions of December, and that's what you see here, that's transpired 2016.

If we see this occurring, okay, and it's now trending, it's not in consolidation, it's down trending for the 10-year treasury notes, that's going to provide the opportunity for the Dollar Index to do the opposite, but also do it in a fashion that's in a trending mode.

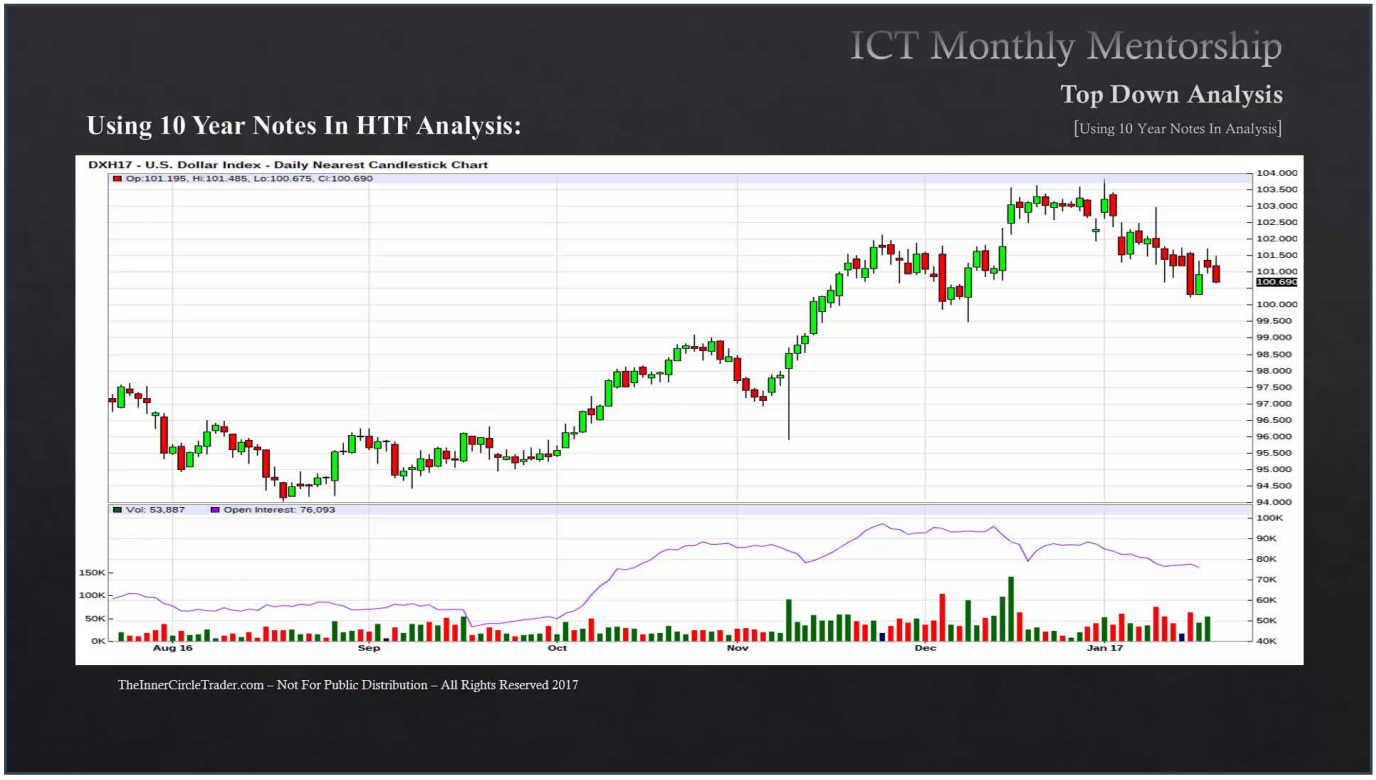
You see in November, we had that same in fact, just in opposite terms, where the election shown the sell-off in the 10-year treasury notes.



That sell-off shows an increase in interest rates, which means there's going to be an interest to now buy Dollar because it's going to be going higher as the 10-year treasury is dropping.

Interest rates are increasing, which means that there's going to be buyers that's going to be seeking yield by buying the Dollar Index.

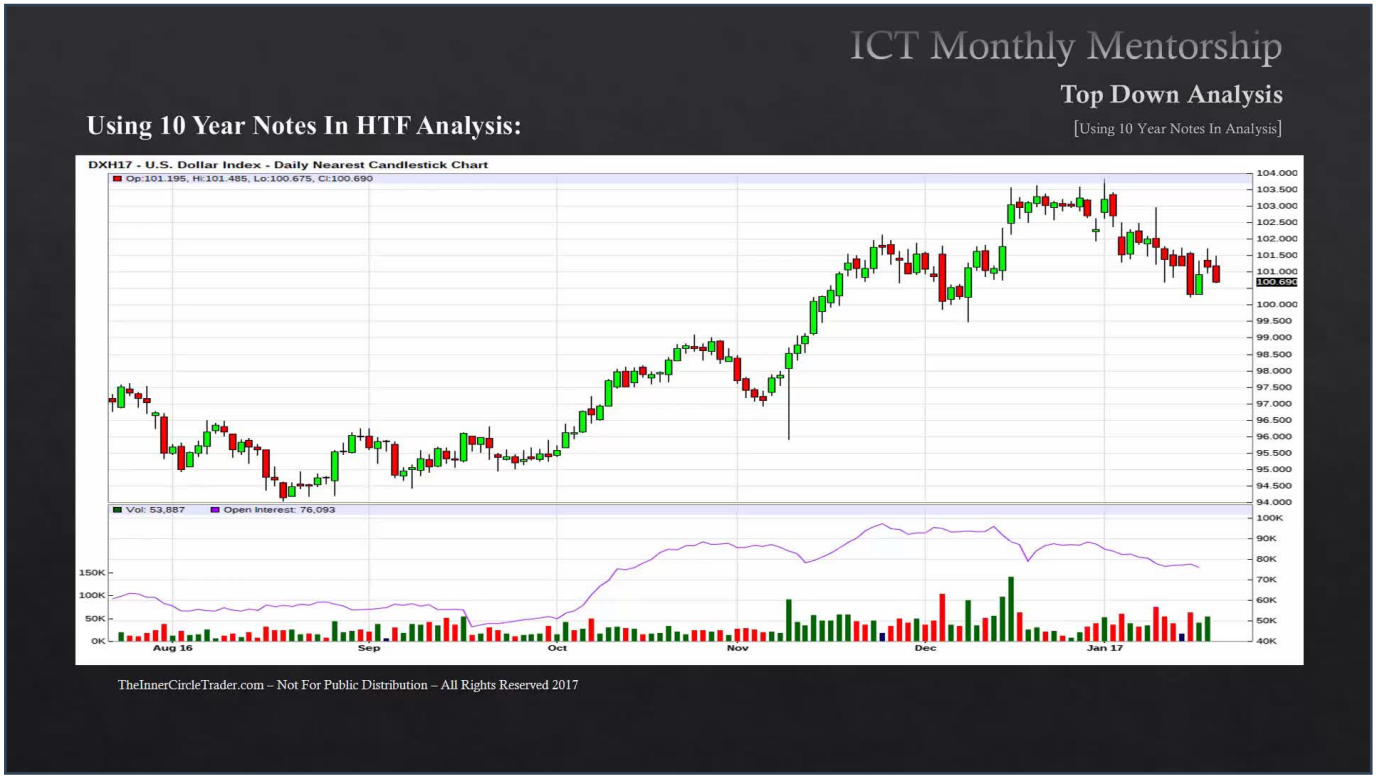
And you can see the market did in fact have a trending environment, trending higher, then creating a short-term low in December and finally making its high in the first portion of December of this year.



So the moral of all this is that if we study the 10-year treasury notes in its price action, it's either going to be moving in its seasonal tendency, or if the Dollar Index moves in tandem with it, that suggests that we're going to be in a large consolidation.

If you look at all the currency pairs that we trade in the form of the British Pound, the Euro Dollar, those pairs were in big consolidations all through the mid portion of 2016.

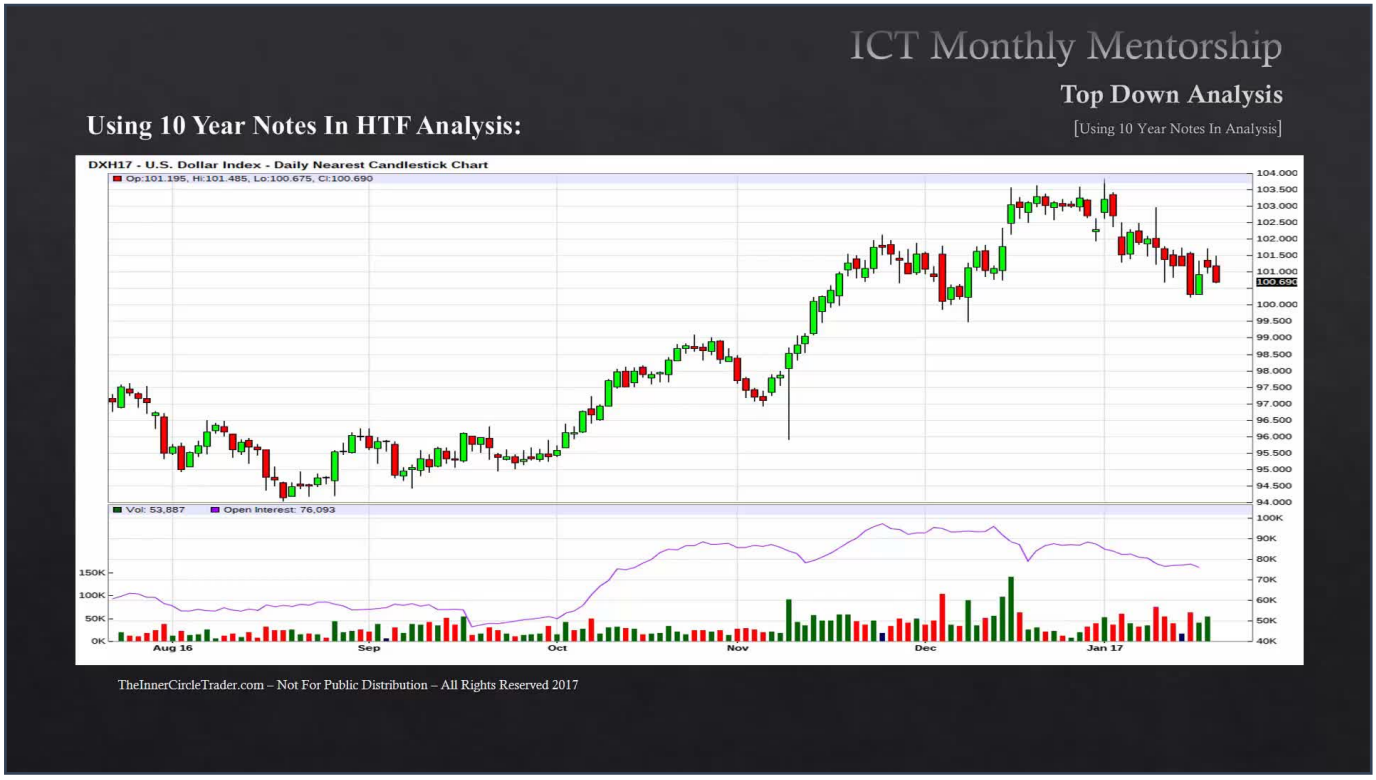
That was attributed to the consolidation that we saw in the 10-year treasury note and the Dollar Index because they're basically moving in the same direction, but they were range bound. That's going to translate into range bound trading as well.



The only caveat is going to be until we saw the Brexit vote, and that's obviously going to be the big impact for the latter portions of the summer months.

But prior to that, everything in the marketplace we saw was all range bound for currency trading.

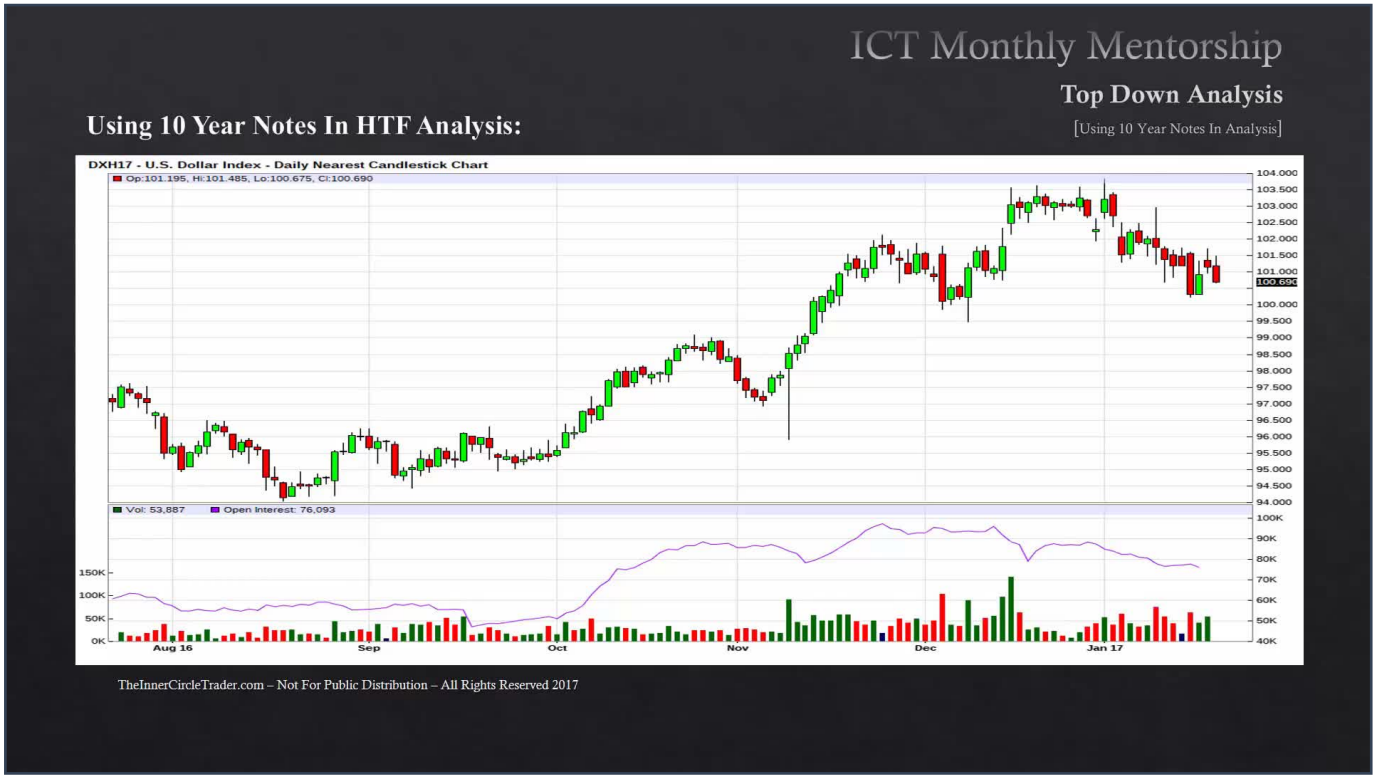
So now, one of the things I said about this month that's going to be helpful to you is when are you looking for a trade that's going to be explosive and trending?



When the 10-year treasury notes seasonal tendency is in effect, you see it happening, and it's supported with the contrary in price action you see in the Dollar Index as we described here.

If they are not showing that, chances are we're going to be in a range bound consolidation, and that means you're going to be focusing on very short-term moves.

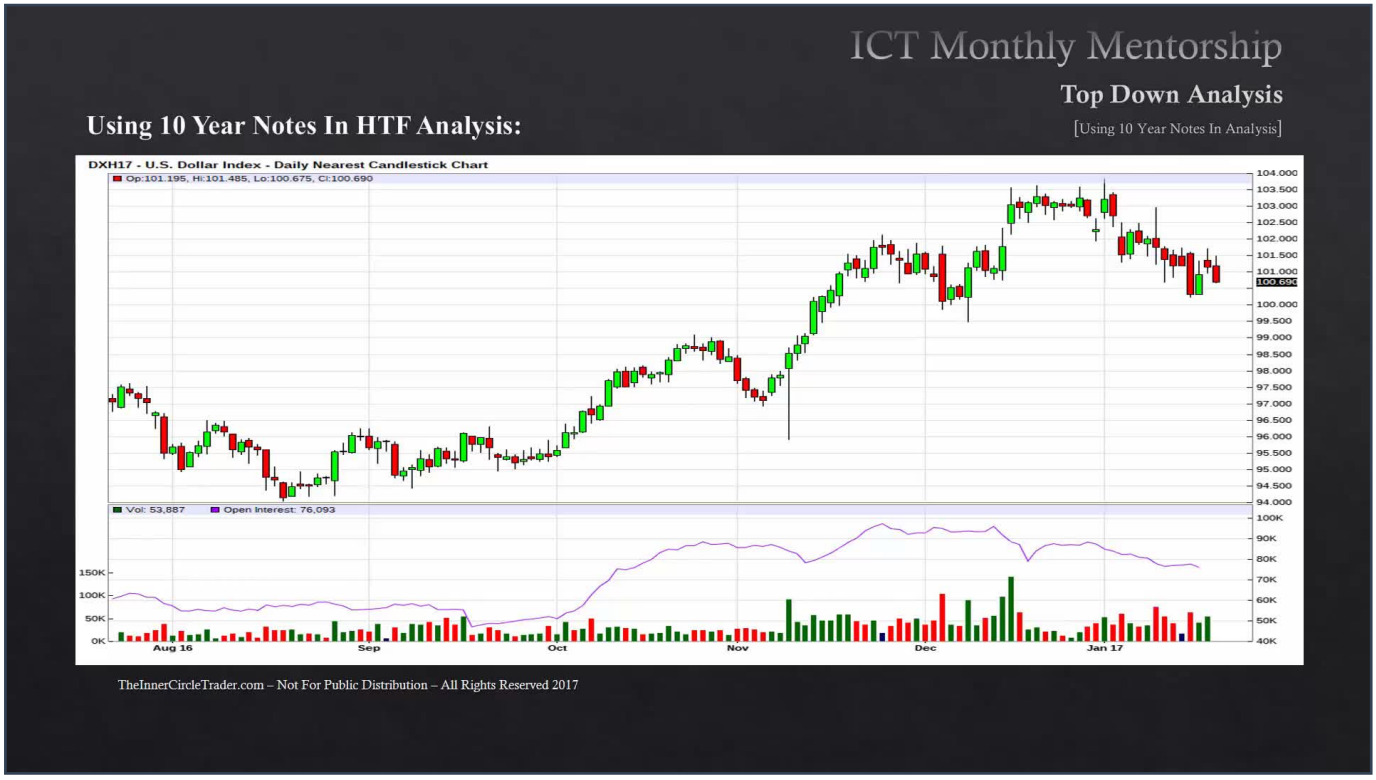
That means it's going to be high probability for short-term trades and day trades, and highly unlikely for long-term position trades.



Long-term position trades are going to be favorable in the conditions we've just shown here: when we see 10-year treasury notes moving in trending environments, that's going to put the Dollar Index into a trending environment also.

If we see the absence of the seasonal tendency, the strongest in the form of the buy signal for 10-year treasury notes around June-July, if that's not occurring, then we're going to be focusing on where the highs form seasonally in the seasonal tendency for the 10-year treasury units to get ourselves in sync with the opposite scope.

In other words, just because the seasonal tendency is the strongest as a buy in June-July for 10-year treasuries, doesn't mean that when that is not the case (because the markets are not always doing the same thing every single time), we can focus primarily being a bearish 10-year note trader, which would give us the November high as we indicated here, which lined up also for the season for our election this year.



So we're going to build on this model here in the next teaching, and until then, I wish you good luck and good trading.